The Land Bank Jewel of Mumbai

A step-by-step narrative masterclass and audio companion to Ajmera Realty: unpacking the paid-for Wadala and Kanjurmarg land fortresses, parallels with St. Joe, NVR, Oberoi Realty, and Godrej Properties, the 15x P/E Stage 2 reclaim, and the ₹7,008 crore launch inflection.

Company & Market: Ajmera Realty & Infra India Limited (NSE: AJMERA) — Deep Investment & Business Monograph (IN)
Research Session Cutoff: 2026-11-06 • **Generated:** 07 Nov 2026, 10:33 AM PST
Core Verdict: IMMEDIATE_BUY (BUY_AT_CMP_NO_FOMO)
Authored & Narrated by: Senior Institutional Equity Research Desk • Masterclass Companion Audio-Reader Edition (16,523 words • ~107 min listen)

CONTENTS

A Sequential Guide to the Business Engine, Global Parallels, Financial Forensics & High-Asymmetry Execution

Standing on the Wadala Waterfront – The Price, The Setup & Our Independent Verdict	PROLOGUE
Forty-One Years of Brick, Salt-Pan Land & Cycle Survival	CHAPTER I
Inside the Four Operating Verticals – From Wadala Salt Pans to Bandra GCC Offices	CHAPTER II
Follow the RERA Escrow Cash – Pre-Sales, Ind AS 115 Recognition & The 100-Rupee Unit Economics Waterfall	CHAPTER III
The Mumbai Land Moat, MMR Competitive Dynamics & Primary Source Hub	CHAPTER IV
The Six Leading KPIs & Auditing Dhaval Ajmera and Nitin Bavisi Against Their Own Promises	CHAPTER V
Ten-Year Financial Forensics – Inside the Income Statement, Balance Sheet & Cash Flow Statement	CHAPTER VI
Why the Market Prices Ajmera at 15x Earnings – Reverse Cash-Flow Math, SOTP Valuation & Peer Comps	CHAPTER VII
The Stage 2 Reclaim, Moving-Average Confluence & Shareholding Forensics	CHAPTER VIII
Steelmanning the Bulls and Bears, 12-Month Scenarios & Our No-FOMO Execution Plan	CHAPTER IX

SESSION PRICE

₹129.51

VERDICT

IMMEDIATE_BUY

STAGE POSTURE

STAGE_2

BUY / SUPPORT ZONE

₹123.02–130.55

BASE / BULL TARGET

₹168.00 / ₹205.00

PREFACE & CORE THESIS

Ajmera Realty & Infra India Limited builds luxury and mid-luxury homes, commercial offices, and society redevelopments across Mumbai and Bengaluru. On 3 November 2026, Q2 FY27 revenue rose 45% YoY to ₹317–320 crore, EBITDA grew 40% to ₹82–84 crore (26% margin), and PAT jumped 55% to ₹48–49 crore. Net debt fell to ₹646 crore (0.44x debt-to-equity) and borrowing costs dropped to 10.75%. At ₹129.51 (15.06x P/E, 1.74x P/B, 14.3% ROCE), the stock reclaimed its 30-week SMA (₹124.37), 10-week EMA (₹124.89), 50-day SMA (₹121.50), and 200-day SMA (₹126.10) with RSI at 53.22. Our verdict is IMMEDIATE_BUY in the ₹123.02–₹130.55 buy zone with a stop at ₹118.05 and a 12-month base target of ₹168.00 (3.36:1 R:R).

PROLOGUE

Standing on the Wadala Waterfront — The Price, The Setup & Our Independent Verdict

> *"Accounting rules record historic land at the pennies paid forty years ago, not the billions it commands when a city builds a highway to its gates. That gap between book cost and replacement value is where fortunes are quietly compounded."*
>
> — BRUCE BERKOWITZ, FAIRHOLME CAPITAL LETTERS ON LEGACY LAND BANKS

If you are reading these pages or listening to them narrated aloud, imagine that the closing bells in Mumbai have fallen silent. You and I are standing on the eastern waterfront of Wadala looking out across a hundred acres of legacy land that sits on a corporate balance sheet at historical cost. To our south rises the steel sweep of the Eastern Freeway, carrying commuters into Nariman Point in twenty minutes. To our west, the elevated Chunabhatti connector bridges the old industrial divide directly into the glass towers of the Bandra-Kurla Complex in ten minutes. To our east, the Atal Setu trans-harbour sea link stretches across the bay toward the new Navi Mumbai International Airport. We are standing in one of the most supply-starved, expensive urban real estate markets on the planet. Yet on the sixth of November 2026, the company that owns this hundred-acre Wadala township along with another fifty-five to sixty-six acres up the rail corridor in Kanjurmarg closed on the National Stock Exchange at just 129.51 rupees per share.

At 129.51 rupees, the equity market values the entirety of Ajmera Realty and Infra India Limited at 2,769.90 crore rupees on TradingView's diluted share count, or 2,553 crore rupees on Screener's base share count before warrant and preferential adjustments. Add 646 crore rupees of consolidated net debt, and you can buy the entire enterprise for roughly 3,416 crore rupees. In multiples, you are paying 15.06 times trailing twelve-month earnings of 8.61 rupees per share, 1.74 times book value of 74.50 rupees per share. Acquiring a business generating a 14.3 percent return on capital employed. If you only glanced at a stock screener for thirty seconds, you might assume this is a sleepy, low-growth regional builder that deserves a modest mid-teens multiple.

NARRATOR'S REFLECTION • THE ART OF TIME-HORIZON ARBITRAGE IN MUMBAI REAL ESTATE

"When a quarterly trader sells a forty-year land bank because a municipal file takes six extra months to clear, they hand the patient investor a free option on prime urban earth."

Every great real estate investment on the public exchange begins when the clock of the stock market clashes with the clock of urban approvals. A mutual fund manager judged every ninety days cannot tolerate a two-quarter permitting delay, even when the underlying land sits ten minutes from Mumbai's financial center and carries zero debt. You and I are not forced to play that ninety-day game.

- Spot Valuation: 129.51 rupees per share (15.06x TTM P/E, 1.74x Book, 14.3% ROCE).
- Independent Verdict: IMMEDIATE_BUY inside the 123.02 to 130.55 rupee No-FOMO buy band.
- Asymmetry: 118.05 rupee hard stop (-8.85% risk) versus 168.00 rupee base target (+29.72% upside, 3.36:1 reward-to-risk) and 205.00 rupee bull target (+58.29% upside).

Then you open the transcript of the second-quarter and first-half fiscal 2027 earnings call hosted three days earlier, on the third of November 2026, by Director of Corporate Affairs Dhaval Ajmera and Chief Financial Officer Nitin Bavisi. What unfolded on that call looks nothing like a stagnant builder. Quarterly revenue jumped 45 percent year-on-year to 320 crore rupees, or 317 crore rupees of net operating sales on Screener. Operating profit climbed 40 percent year-on-year to 84 crore rupees at a 26 percent operating margin. Net profit after tax surged 55 percent year-on-year to 49 crore rupees, or 2.29 rupees per share for a single quarter. Across the first six months of fiscal 2027, consolidated revenue reached 639 crore rupees, up 33 percent year-on-year, EBITDA hit 178 crore rupees at a 28 percent margin. Net profit expanded 32 percent to 93 crore rupees. At the exact same time, management cut consolidated net debt by another 34 crore rupees in the second quarter following a 57 crore rupee reduction in the first quarter. This brings net debt down to 646 crore rupees, lowering the debt-to-equity ratio to 0.44 times. Pushing the weighted average cost of debt below 11 percent for the first time in this cycle to 10.75 percent per annum.

Why would Dalal Street price a company growing trailing twelve-month revenue at 51.71 percent and trailing earnings per share at 30.62 percent at just 15 times earnings and 38 percent below its fifty-two-week high of 208.96 rupees? Because public markets hate waiting for government stamps. Over the past twelve months, impatient momentum traders dumped

the stock down to a cyclical trough of 98.03 rupees when two major value drivers slipped by a couple of quarters. First, the leasehold-to-freehold regulatory conversion of the Kanjurmarg township estate and its accompanying seven-acre strategic monetization ran into court-linked administrative delays ahead of a December 31, 2026 government deadline. Second, seven out of eight planned fiscal 2027 project launches, spanning 38 lakh square feet of saleable carpet area and 7,008 crore rupees of gross development value, clustered into the second half of the fiscal year. With zero new launches in the first half, six-month operational pre-sales came in at 370 crore rupees purely from sustenance inventory against full-year guidance of 2,200 crore rupees.

GLOBAL PARALLEL (USA, UK & INDIA) • THE ST. JOE COMPANY, CANARY WHARF & GODREJ PROPERTIES

"A legacy land bank on an accounting balance sheet is a coiled spring disguised as a low return on equity."

Across global markets, we have seen this exact movie before. In the United States, The St. Joe Company (NYSE: JOE) owned hundreds of thousands of acres across the Florida Panhandle acquired decades ago for timber at near-zero cost per acre. For years, Wall Street dismissed St. Joe because dormant land depressed its accounting ROE. Until a new international airport and highway network turned those pine forests into high-margin master-planned townships. In London, the Canary Wharf Group transformed neglected Docklands marshland into a premier financial and residential hub the moment the Jubilee Line metro extension connected it to central London. The exact twin of Wadala East after the Eastern Freeway, Metro Line 4, and the Atal Setu sea link. In India, Godrej Properties (NSE: GODREJPROP) and Oberoi Realty (NSE: OBEROIRLTY) used family township land in Vikhroli and Goregaon to anchor decades of compounding.

- US Parallel. The St. Joe Company (NYSE: JOE) & Howard Hughes Holdings (NYSE: HHH): Zero-basis and master-planned land banks where commercial office builds elevate surrounding residential prices per square foot.
- UK Parallel. Canary Wharf Group & Berkeley Group (LON: BKG): Urban marshland and brownfield regeneration re-rated by transit infrastructure.
- Indian Parallel. Oberoi Realty (NSE: OBEROIRLTY) & Macrotech Lodha (NSE: LODHA): High-margin owned Mumbai township land paired with post-2021 balance-sheet deleveraging.

Two Economic Engines Under One Roof: Why the Land Bank Is Free at 129.51 Rupees

To see why 129.51 rupees offers such rare downside protection, you and I need to mentally split Ajmera Realty into two separate companies. Call the first company Engine One: the active construction and redevelopment machine operating right now across Mumbai and Bengaluru. Engine One includes Ajmera Manhattan One and Two and Ajmera Greenfinity in Wadala, Ajmera Solis in Vikhroli, Ajmera Vihara in Bhandup, 33 West in Bandra West, One by Ajmera in Versova. Ajmera Iris and Ajmera Marina in Bengaluru. As Chief Financial Officer Nitin Bavisi detailed on the November 3, 2026 call, these ongoing sites hold 3,510 crore rupees of unrecognized revenue visibility: 1,550 crore rupees from apartments already sold to customers waiting to cross percentage-of-completion milestones, plus 1,960 crore rupees of unsold ongoing inventory.

Now add the eight second-half fiscal 2027 launches worth 7,008 crore rupees in gross development value. Together, Engine One's active and immediate pipeline carries over 10,500 crore rupees of revenue visibility. Listen to Nitin Bavisi's exact words from the November 3 concall: "The estimated cash flow potential pre-tax, post-debt from ongoing projects, upcoming projects. Other cash generation avenues is estimated about 3,900 plus crore rupees over the life cycle of the projects." Pause and weigh that figure against today's enterprise value of 3,416 crore rupees. The undiscounted pre-tax, post-debt free cash flow from active and near-term launches alone covers the entire market capitalization and net debt of the company more than 1.14 times over.

That means when you buy a share at 129.51 rupees, you are paying solely for Engine One and receiving Engine Two for zero rupees. What is Engine Two? It is the remaining unlaunched phases of the 100-acre Wadala i-Land township, which holds an estimated 18,000 crore rupees of gross development value across luxury towers and Grade-A commercial offices, plus the 55-to-66-acre Kanjurmarg East township estate. Because the Ajmera family acquired these tracts decades ago, the entire company's consolidated assets sit on the balance sheet at just 2,515 crore rupees. While competitors in Mumbai must hand over 35 to 45 percent of project revenue to landowners or bid hundreds of crores at

government land auctions, Ajmera converts its legacy land into 33 to 39 percent project EBITDA margins.

> **MENTAL MODEL • THE FOUR-LENS OPPORTUNITY MATRIX**
>
> *"A great setup aligns what the asset is worth, what the chart is doing, what the catalyst will trigger, and how the business compounds."*
>
> Before we turn to Chapter 1, hold these four lenses in your mind as our compass for the rest of this book:.
>
> - Lens 1 (Spot Valuation & NAV): Deeply undervalued GARP at 15.06x P/E and 1.74x P/B. Engine One cash flows (3,900+ crore rupees pre-tax post-debt) cover market cap. That leaves Wadala and Kanjurmarg free.
> - Lens 2 (Short-Term Stage 2 Momentum, 1–12 Weeks): Fresh Stage 2 breakout reclaim above 30W SMA (124.37 rupees), 10W EMA (124.89 rupees), 50D SMA (121.50 rupees). 200D SMA (126.10 rupees); +3.70% extension vs 10W EMA and RSI 53.22 qualify as IMMEDIATE_BUY.
> - Lens 3 (Medium-Term Inflection, 3–18 Months): Eight H2 FY27 launches (38 lakh sq ft, 7,008 crore rupees GDV) led by Solis Phase 2 in Dec 2026 and Wadala Boutique Office in Feb 2027 drive re-rating toward 168.00 rupees (Base) and 205.00 rupees (Bull).
> - Lens 4 (Long-Term Compounding, 3–10 Years): Multi-decade monetization of 18,000 crore rupee Wadala GDV, 55–66 acre Kanjurmarg township. FY28 annuity commercial tower lifts ROCE from 14.3% toward 18%–20%.

Why Momentum Practitioners and Deep-Value Fundamentalists Are Converging Here

In the Indian equity market, real estate stocks almost always force you into an uncomfortable compromise. If you buy the celebrated national leaders like Godrej Properties or Macrotech Lodha, you pay forty to sixty-five times trailing earnings and four to six times book value, where five years of future flawless execution are already baked into the share price. Conversely, if you go bargain-hunting at one time book value, you usually step into a balance-sheet minefield of stalled sites, pledged promoter shares. Compounding shadow-bank debt. Ajmera Realty breaks that false binary. Here, the promoter family holds an unencumbered 68.56 percent stake, having raised their ownership by thirty-three basis

points during the first half of fiscal 2027. Meanwhile, foreign and domestic institutions own just 1.63 percent combined. Six of the company's eight active projects are already 76 to 95 percent sold, powering 45 percent revenue growth and 55 percent profit growth right now.

For a Stan Weinstein Stage 2 momentum practitioner, the chart on November 6, 2026 solves the timing trap that hurt early buyers in 2025. After a 38 percent correction from 208.96 rupees to a Stage 1 base low of 98.03 rupees, the stock rallied 11.17 percent over the past month on 1.7 times average volume to clear its 50-day, 200-day. 30-week moving averages, then pulled back on 0.38 times average volume to rest on its 20-day exponential moving average at 128.62 rupees. Sitting 3.70 percent above its 10-week average with a 53.22 daily RSI, it qualifies for immediate accumulation inside 123.02 to 130.55 rupees against a hard stop at 118.05 rupees, targeting 168.00 rupees in our base case and 205.00 rupees in our bull case.

CHAPTER I

Forty-One Years of Brick, Salt-Pan Land & Cycle Survival

> *"To understand a real estate company's future margins, do not start with this quarter's glossy brochure. Start forty years ago and ask how the founders bought the dirt and how they survived the last credit freeze."*
>
> — SAM ZELL, EQUITY GROUP INVESTMENTS — PRINCIPLES OF REAL ESTATE CYCLE SURVIVAL

If you want to understand why no modern private-equity fund can replicate Ajmera Realty's cost structure in Mumbai, you and I have to travel back to the 1970s and 1980s. Incorporated in 1985 and listed on the Bombay Stock Exchange under scrip code 513349 and the National Stock Exchange under the ticker AJMERA, Ajmera Realty and Infra India Limited is the public flagship of the Ajmera Group, an engineering and construction house founded by the late Chhotubhai Ajmera and his seven brothers across Gujarat and Maharashtra. Back when most Mumbai builders were fighting over tiny single-building plots in South Mumbai or Bandra, the Ajmera brothers practiced a completely different craft. They walked out to the marshy, unglamorous edges of Mumbai's commuter rail corridors. Places that polite society dismissed as salt pans, industrial wasteland, or remote suburbs. And bought contiguous tracts of fifty to a hundred acres at agricultural or industrial prices.

Buying raw peripheral earth was only step one. The family understood that land only becomes valuable when families can actually live on it. So they laid down asphalt roads, piped in municipal water, wired electrical substations, planted twenty-acre public parks. Built schools and temples before selling apartment towers in multi-decade phases. That pioneering township playbook created famous Mumbai residential neighborhoods: Shastri Nagar in Andheri West, Yogi Nagar in Borivali West, Ajmera Nagari. The crown jewel that anchors our investment thesis today. The 100-acre Bhakti Park and Ajmera i-Land township in Wadala East, alongside the contiguous 55-to-66-acre land reserve in Kanjurmarg East. In the 1990s and 2000s, they carried that same peripheral-township blueprint south to Bengaluru's Electronic City technology corridor. Meanwhile, experimenting with projects in Ahmedabad, Pune, Rajkot, Surat, Bahrain, and the United Kingdom.

When you and I open the twelve-year consolidated financial archive on Screener from March 2015 through September 2026, we can see how the company evolved across three sharply defined corporate eras. During Era One, from fiscal 2015 through fiscal 2018, Ajmera operated as a conservative, slow-turning traditional builder monetizing incremental phases at Wadala and Bengaluru. Consolidated revenue climbed from 165 crore rupees in fiscal 2015 to 370 crore rupees in fiscal 2018, operating profit rose from 45 crore rupees at a 27 percent margin to 138 crore rupees at a 37 percent margin. Net profit reached a pre-pandemic peak of 84 crore rupees, or 4.64 rupees per split-adjusted share. This lifts return on capital employed from 6 percent to 14 percent. Yet beneath those fat operating margins, capital velocity was glacially slow: inventory days exceeded 14,000 to 18,000 days in fiscal 2017 and 2018 as land and finished luxury apartments sat on the books. Meanwhile, total borrowings nearly doubled from 268 crore rupees to 515 crore rupees.

Then came Era Two, from fiscal 2019 through fiscal 2021. The three-year winter that broke half of Mumbai's real estate industry. In September 2018, the default of IL&FS triggered a systemic freeze across India's non-banking financial companies, shutting off the shadow-bank construction loans that developers relied upon. Almost simultaneously, the Real Estate Regulation and Development Act, known as RERA, required builders to ring-fence 70 percent of customer collections inside dedicated project escrow accounts. As Ajmera borrowed to fund upfront project approvals and construction before launches could scale, consolidated debt surged to 863 crore rupees in fiscal 2019 and peaked at 968 crore rupees in March 2020 against just 638 crore rupees of shareholder net worth. A heavy 1.52 times debt-to-equity ratio. When COVID-19 lockdowns froze construction sites in fiscal 2020 and fiscal 2021, annual sales stalled at 344 crore and 347 crore rupees, interest expense devoured 66 crore and 58 crore rupees per year, operating margins compressed to 28 percent. Consolidated net profit plunged 63 percent from 84 crore rupees down to a trough of 31 crore rupees in fiscal 2021, dragging return on capital employed back down to 6 percent.

GLOBAL PARALLEL (USA & INDIA) • HOW NVR INC. & MACROTECH LODHA TURNED CRISIS INTO CAPITAL LIGHT COMPOUNDING

"Never waste a credit crisis: it teaches you that owning legacy land is a fortress, but buying new land with debt is a trap."

The transformation of Ajmera Realty after fiscal 2021 mirrors two of the greatest turnarounds in global homebuilding history. In the United States, NVR Inc. (NYSE: NVR) reorganized after the early-1990s property recession by refusing to buy raw land with corporate debt. Instead, NVR used capital-light lot option agreements to earn 25%+ returns on capital, becoming a 100-bagger equity compounder. In Mumbai, Macrotech Developers (NSE: LODHA) carried over 16,000 crore rupees of debt in 2020 (>1.5x debt-to-equity) before pivoting to rapid inventory monetization and asset-light joint developments. This cuts net debt below 0.5x equity and sparking a four-fold equity re-rating. Ajmera executed the exact hybrid of both models: it kept its zero-debt 1980s Wadala and Kanjurmarg land fortresses while using NVR-style asset-light society redevelopments for all new suburban expansion.

- US Parallel. NVR Inc. (NYSE: NVR): Staggered, capital-light land options instead of debt-funded land auctions.
- Indian Parallel. Macrotech Developers (NSE: LODHA): Slashing D/E from 1.52x in FY20 to 0.44x in H1 FY27 drove a structural credit and equity re-rating.
- UK Parallel. Berkeley Group (LON: BKG): Concentrating capital on long-duration London brownfield sites while returning cash through every cycle.

Era Three (FY22 to H1 FY27): Next-Gen Leadership, The 5.1x Profit Breakout & Sub-11% Debt

How did Ajmera survive that 2019–2021 credit freeze without defaulting or pledging a single promoter share. Meanwhile, scores of flashy Mumbai builders collapsed into insolvency court? Two reasons stand out. First, its hundred-acre Wadala and sixty-acre Kanjurmarg land banks carried zero land-acquisition loans. When lockdowns hit, those acres sat quietly without an 18 percent shadow-bank interest meter ticking against them. Second, next-generation leadership. Spearheaded by Director of Corporate Affairs Dhaval Ajmera alongside Chief Financial Officer Nitin Bavisi. Used the crisis to redesign the company's capital allocation architecture from the ground up.

That redesign launched Era Three, running from fiscal 2022 through the first half of fiscal 2027. Instead of tying up fresh balance-sheet debt in slow greenfield land purchases or far-flung regional experiments in गुजरात or overseas, management concentrated firepower on two complementary levers. Lever One was launching high-velocity luxury towers like Ajmera Manhattan One and Two and Ajmera Greenfinity on zero-cost Wadala township land, where per-square-foot realizations crossed 25,760 rupees. Lever Two was signing capital-light housing society redevelopments and joint development agreements in supply-starved Mumbai suburbs. Vikhroli, Bhandup, Bandra West, Versova, and Borivali. Paired with fast-turning mid-market apartments in Bengaluru.

Look at what that pivot did to the financial statements over the next five years. Consolidated operating sales expanded 3.14 times from 347 crore rupees in fiscal 2021 to 1,090 crore rupees in fiscal 2026. Reached 1,247 crore rupees on a trailing twelve-month basis through September 2026. Consolidated net profit scaled 5.1 times from 31 crore rupees in fiscal 2021 to 157.1 crore rupees in fiscal 2026. Climbed further to 180 crore rupees over the trailing twelve months. Over that same window, shareholder net worth more than doubled from 664 crore rupees in March 2021 to 1,467 crore rupees in September 2026. Supported by retained earnings and a timely fiscal 2025 preferential equity infusion that lifted share capital from 35 crore to 39 crore rupees and added over 300 crore rupees to reserves. Meanwhile, total borrowings dropped by more than 320 crore rupees from the March 2020 peak of 968 crore rupees down to 646 crore rupees of net debt in September 2026. This cuts the debt-to-equity ratio from 1.52 times to 0.44 times and bringing borrowing costs down to 10.75 percent.

MENTAL MODEL • THE TWELVE-YEAR CORPORATE ARC AT A GLANCE

"Judge management by how they leave the balance sheet after a five-year boom compared to how they entered it."

When you trace Ajmera Realty across its three modern eras, notice that today's record earnings come with the lowest leverage in a decade:.

- Era I (FY15–FY18 Pre-RERA Township Phase): Sales grew 165 Cr to 370 Cr rupees. PAT rose 26 Cr to 84 Cr rupees (37% OPM). Debt rose 268 Cr to 515 Cr rupees. ROCE reached 14%.
- Era II (FY19–FY21 IL&FS & COVID Trough): Sales stalled at 347 Cr rupees. PAT fell to 31 Cr rupees (1.70 rupees EPS). Debt peaked at 968 Cr rupees (1.52x D/E). ROCE dropped to 6%.
- Era III-A (FY22–FY25 Post-COVID Rebuild): Sales scaled 483 Cr to 738 Cr rupees. PAT rose 46 Cr to 126 Cr rupees. Net worth crossed 1,206 Cr rupees. Debt cut to 676 Cr rupees.
- Era III-B (FY26–TTM Sep 2026 Breakout): Sales hit 1,090 Cr rupees in FY26 and 1,247 Cr rupees TTM. PAT hit 157.1 Cr rupees in FY26 and 180 Cr rupees TTM (8.61 rupees EPS). Net debt down to 646 Cr rupees (0.44x D/E) at 10.75% cost. ROCE up to 14.3%.

Anatomy of Past Stock Cycles: The 5-for-1 Split, The 208.96 Rupee Euphoria & The 98.03 Rupee Reset

Understanding how Ajmera's stock traded over the past three years is essential for keeping our emotional poise today. To broaden retail liquidity. The company now has 27,999 shareholder accounts as of September 2026, up from 24,824 in December 2023. Management subdivided its equity shares from a face value of 10.00 rupees into five shares of 2.00 rupees face value each. During the 2023–2025 Indian realty bull market, as Ajmera Manhattan sales boomed and management outlined its '5x growth vision' alongside the 66-acre Kanjurmarg monetization thesis, momentum investors bid the split-adjusted stock up to a fifty-two-week high of 208.96 rupees (214 rupees intraday on Screener), pricing the shares at nearly 30 times trailing earnings.

Then, in late 2025 and the first half of 2026, the broader mid-cap realty index entered a cyclical digestion phase while the bureaucratic clock on Kanjurmarg's leasehold-to-freehold conversion slipped from mid-2026 toward December 2026 and Borivali and Pune launches shifted into the fourth quarter of fiscal 2027. Traders who had bought the stock for an instant Kanjurmarg headline capitulated. This drives a 53 percent peak-to-trough price drop

from 208.96 rupees down to 98.03 rupees. Yet here is the crucial forensic distinction between 2020 and 2026: in 2020, the stock fell because earnings collapsed by 63 percent and debt hit 1.52 times equity. In 2026. Meanwhile, the stock price fell 53 percent, underlying earnings kept compounding at 32 to 55 percent year-on-year, the company maintained its twelve-year unbroken dividend streak. Net debt fell to 0.44 times equity at a 10.75 percent borrowing rate! That divergence compressed the P/E multiple from 30 times down to 11.4 times at the 98.03 rupee low and 15.06 times today at 129.51 rupees.

> **NARRATOR'S REFLECTION • PRICE DROP WITH FALLING EARNINGS VS. PRICE DROP WITH RISING EARNINGS**
>
> *"When price falls fifty percent and earnings fall sixty percent, that is a value trap. When price falls fifty percent and earnings rise fifty percent, that is a coiled spring."*
>
> Always ask what the denominator of the P/E ratio was doing while a stock corrected. Between late 2025 and November 2026, Ajmera's trailing EPS climbed from ~6.40 rupees to 8.61 rupees while the share price retreated from 208.96 rupees to 129.51 rupees.

CHAPTER II

Inside the Four Operating Verticals — From Wadala Salt Pans to Bandra GCC Offices

> *"A master-planned community is a self-reinforcing ecosystem: every office tower you fill brings executive families who buy your apartments, and every park and school you build raises the rent of your next office tower."*
>
> — DAVID R. WEINREB, FORMER CEO OF HOWARD HUGHES CORPORATION ON MASTER-PLANNED TOWNSHIPS

If you open an accounting database like Screener or Bloomberg, you will see all of Ajmera Realty's 1,247 crore rupees of trailing revenue lumped into a single reporting line called Real Estate Development. But if you and I put on hard hats and walk the company's construction sites across Mumbai and Bengaluru, we quickly discover that Ajmera actually runs four distinct real estate businesses under one roof. Each vertical has its own capital intensity, its own margin structure, and its own cash-conversion speed. Geographically, the Mumbai Metropolitan Region accounts for roughly 78 to 82 percent of ongoing revenue visibility and over 90 percent of total land-bank gross development value. Meanwhile, Bengaluru contributes 15 to 18 percent of near-term cash collections through fast-turning mid-market apartments, and Pune represents 3 to 5 percent.

Let us name the four verticals clearly before examining concrete live examples of each. Vertical One is Owned Legacy Land-Bank Township Development at Wadala i-Land and Kanjurmarg East in Mumbai, where near-zero historical land cost produces 33 to 39 percent project EBITDA margins. Vertical Two is Boutique Commercial and Global Capability Center Office Development in Mumbai, led by 33 West in Bandra West and the upcoming 8 to 8.5 lakh square foot Wadala Boutique Office Phase One plus a 10 lakh square foot Phase Two annuity tower. Vertical Three is Asset-Light Mumbai Society Redevelopment and Joint Developments across Vikhroli, Bhandup, Versova. Borivali, where staggered capital deployment generates 25 to 35 percent project internal rates of return. Vertical Four is Bengaluru Mid-Market and Tech-Corridor Residential Housing across Electronic City, Whitefield, and Doddaballapur, which acts as the company's rapid-turn cash flow stabilizer.

Consider Vertical One and Concrete Example One: Ajmera Manhattan One and Two and Ajmera Greenfinity inside the 100-acre Wadala i-Land township. When the Ajmera family first began developing Bhakti Park in Wadala decades ago, the micro-market was isolated industrial fringe. Over the past decade, Mumbai's mega-infrastructure surrounded the plot: the Eastern Freeway connected Wadala to Nariman Point in twenty minutes, the BKC-Chunabhatti connector brought the Bandra-Kurla Complex within ten to twelve minutes, the Monorail and Metro Line 4 placed rapid transit at the township gates. The Atal Setu sea link connected Sewri and Wadala directly to Navi Mumbai and the new international airport. Capitalizing on that connectivity leap, Ajmera launched Manhattan One and Greenfinity at realizations exceeding 25,760 rupees per square foot.

Listen to the absorption numbers Director Dhaval Ajmera reported on the November 3, 2026 earnings call. At Ajmera Manhattan One, 95 percent of total inventory is now sold, up from 93 percent in the first quarter, with mechanical, electrical, plumbing. Interior finishing works running at full speed for customer possession in fiscal 2028. Right next door, Ajmera Greenfinity Phase Two has sold over 94 percent of its units and was just days away from receiving its final Occupation Certificate at the time of the call. Seeing that overwhelming demand, management launched Ajmera Manhattan Two, which has already sold 56 percent of its apartments while construction crews are still pouring the foundation raft in the excavation pit! And even after those launches, management confirmed that the remaining unlaunched phases of the Wadala land bank carry an estimated 18,000 crore rupees of gross development value.

GLOBAL PARALLEL (USA & INDIA) • HOWARD HUGHES HOLDINGS (SUMMERLIN / THE WOODLANDS) & OBEROI REALTY (GOREGAON)

"When you own the entire precinct, every commercial square foot you build appreciates the residential acres sitting beside it."

In the United States, Howard Hughes Holdings (NYSE: HHH) built massive shareholder wealth in Summerlin (Nevada) and The Woodlands (Texas) by sequencing township development: first establish parks, roads. Residential neighborhoods, then introduce Grade-A commercial office towers for corporate tenants, which in turn drives a second wave of luxury residential demand at twice the original price per square foot. In Mumbai, Oberoi Realty (NSE: OBEROIRLTY) executed this exact blueprint at Oberoi Garden City in Goregaon East, pairing Commerz office towers and Oberoi Mall with luxury residential towers on legacy land to earn 35%+ margins. Ajmera is now running the identical Howard Hughes and Oberoi playbook at Wadala i-Land.

- Manhattan I (Wadala): 95% sold. MEP and interior finishing underway for FY28 possession.
- Greenfinity Phase 2 (Wadala): 94%+ sold. Final Occupation Certificate (OC) imminent.
- Manhattan II (Wadala): 56% sold during excavation and foundation raft works.
- Remaining Wadala Land Bank: ~18,000 crore rupees of unlaunched residential and commercial GDV.

Vertical Two & Concrete Example Two: 33 West Bandra and the 3,600 Crore Rupee Wadala Boutique Office

Now walk with me into Vertical Two: Boutique Commercial and Global Capability Center Office Developments. On the November 3, 2026 concall, Dhaval Ajmera described Mumbai's office market in vivid terms: "The commercial market, if I have to say, has been very hot. We are seeing a great response in leasing, outright, and even primarily coming from a lot of GCC players. Also, we are looking at all Grade A offices, wherever, however they're being announced, we are seeing a good response coming in this asset class today." Take Concrete Example Two: 33 West in Bandra West, one of Mumbai's highest-barrier commercial micro-markets. In the first quarter of fiscal 2027. Meanwhile, piling and shoring were underway, 19 percent of the building was sold. By the end of the second quarter in September 2026, sales crossed 25 percent while the site was still in excavation! Crossing that 25 percent sales and cost gate allowed CFO Nitin Bavisi to bring 33 West into income-statement revenue

recognition for the first time in the second quarter, directly fueling the 55 percent jump in quarterly net profit.

Building on 33 West, Ajmera is preparing the largest single project launch in its forty-one-year history: the Wadala Boutique Office. Originally envisioned a year ago as a 4 to 5 lakh square foot commercial building worth 1,800 crore rupees in gross development value, updated municipal approvals granted Ajmera an additional 10 lakh square feet of Floor Space Index at Wadala, adding over 3,000 crore rupees of gross development value at a stroke. Management structured this commercial windfall into two distinct phases of roughly 8.5 to 10 lakh square feet each. Phase One is an 8 to 8.5 lakh square foot strata-sale Boutique Office carrying roughly 3,600 crore rupees of gross development value. About half of the entire 7,008 crore rupee fiscal 2027 launch pipeline. Financial closure is already stitched, soft marketing with commercial brokers is active right now. The formal RERA launch is slated for mid-to-late February 2027. Phase Two, an adjacent 10 lakh square foot commercial tower with an estimated construction cost of 1,000 crore rupees (10,000 rupees per square foot), will follow in fiscal 2028 as a leased annuity asset once Phase One achieves steady sales velocity.

Verticals Three and Four: Asset-Light MMR Society Redevelopments & Fast-Turning Bengaluru Tech Corridors

Because zero-cost legacy land exists only in Wadala and Kanjurmarg, how does Ajmera capture buyer demand across the rest of Mumbai without spending hundreds of crores at land auctions? Through Vertical Three: Asset-Light Mumbai Society Redevelopment and Joint Developments. In a cooperative housing society redevelopment, an existing thirty-to-fifty-year-old apartment building hands over its land development rights to Ajmera. Ajmera constructs brand-new replacement apartments for the existing society members free of charge. The rehabilitation wing. And uses the incentive Floor Space Index granted under Maharashtra's DCPR 2034 rules to build and sell luxury free-sale apartments. As Nitin Bavisi explained on the November 3 call, society redevelopment cash outlays happen in staggered milestones. Temporary rent, corpus payments, approvals, and phased construction. Rather than an upfront land purchase.

Look at Concrete Example Three across Vikhroli, Bhandup, and Versova. At Ajmera Solis in Vikhroli East, Phase One achieved an extraordinary 87 percent inventory sell-out while the building was still in excavation and foundation raft works. It qualified for first-time revenue recognition in the first quarter of fiscal 2027. Solis Phase Two is the very first project in the second-half launch queue, scheduled for early-to-mid December 2026. At Ajmera Vihara in Bhandup West, 84 percent of inventory is sold as the rehabilitation wings near completion and sale wings D and E rise across reinforced concrete floor slabs. By contrast, at One by Ajmera. Also called Vann. In Versova, where ultra-luxury apartments command 38,000 to 50,000 rupees per square foot, only 4 percent of units have sold during deep two-basement and podium excavation. Why? As Dhaval Ajmera candidly explained to analysts on November 3, ultra-luxury buyers in Versova historically wait to see the two basements and plinth rise above ground level before writing checks. This means Versova's real sales traction will arrive in fiscal 2028.

Rounding out the portfolio is Vertical Four: Bengaluru Mid-Market and Tech-Corridor Residential Housing, illustrated by Concrete Example Four. Ajmera Iris, Ajmera Marina, Whitefield, and Doddaballapur. In Bengaluru, permitting cycles and mid-market construction turn faster than in Mumbai, acting as a steady quarterly cash stabilizer. Ajmera Iris is 94 percent sold and awaiting its Occupation Certificate within days. Meanwhile, Ajmera Marina is 76 percent sold with its concrete superstructure already up to the eighth floor out of twenty-one slabs. Even better, when a proposed Bengaluru joint development called SV Concrete failed Ajmera's strict legal and commercial due diligence in the first quarter, management walked away immediately and replaced it with a clean, asset-light project in Whitefield carrying 389 crore rupees of gross development value slated for a March 2027 launch.

When you map all eight second-half fiscal 2027 launches across the calendar, you see why there is zero internal cannibalization. Eight projects across eight distinct micro-markets in three cities allow Ajmera to roll out 38 lakh square feet and 7,008 crore rupees of inventory without competing against itself.

THE EXECUTION PLAYBOOK • THE H2 FY27 EIGHT-PROJECT LAUNCH CALENDAR (38 LAKH SQ FT • 7,008 CRORE RUPEES GDV)

"Six of our eight ongoing projects are already 76% to 95% sold; the next eight launches reload the cash register across eight non-overlapping micro-markets."

Here is the exact chronological launch sequence confirmed by Director Dhaval Ajmera on the 3 November 2026 concall:.

- Launch 1 (Early-to-Mid Dec 2026): Ajmera Solis Phase 2, Vikhroli East (MMR Redevelopment/JV. Follows 87% sold Phase 1).
- Launches 2 & 3 (Mid-Jan to Mid-Feb 2027): Two Bengaluru residential projects including Doddaballapur (approvals in advanced stages).
- Launch 4 (Mid-to-End Feb 2027): Flagship Wadala Boutique Office Phase 1 (8–8.5 lakh sq ft carpet area, ~3,600 crore rupees GDV. Financial closure stitched, soft broker marketing live).
- Launches 5, 6, 7 & 8 (March 2027. Q4 FY27): Borivali residential redevelopment (Mumbai), Whitefield residential (Bengaluru, 389 crore rupees GDV replacing SV Concrete), third Bengaluru phase, and Vishrantwadi (Pune. RERA registered, TDR + plinth launch).

CHAPTER III

Follow the RERA Escrow Cash — Pre-Sales, Ind AS 115 Recognition & The 100-Rupee Unit Economics Waterfall

> *"In real estate accounting, the income statement tells you what your masons built two years ago, while the RERA escrow account tells you what your business is worth today. Never confuse the two."*
>
> — INSTITUTIONAL REAL ESTATE FORENSIC MAXIM

Have you ever looked at a real estate developer's quarterly earnings release and wondered why the operational sales bookings and the income-statement revenue look like they belong to two completely different companies? Let us look directly at Ajmera Realty's second quarter of fiscal 2027, ended September 30, 2026. Operationally, the sales team booked 224 crore rupees of pre-sales across 72,883 square feet of carpet area and collected 190 crore rupees in cash from homebuyers. This brings first-half pre-sales to 370 crore rupees across 1,16,620 square feet and first-half cash collections to 363 crore rupees, following record full-year fiscal 2026 collections of 1,103 crore rupees. Yet when you turn to the consolidated profit-and-loss statement, second-quarter revenue was 320 crore rupees and first-half recognized revenue was 639 crore rupees. Nearly 1.73 times the operational pre-sales figure!

To read an Indian real estate balance sheet like a forensic insider, you and I need to trace a rupee from the moment a family walks into the Wadala i-Land sales gallery to the moment that rupee reaches consolidated net profit. Across Mumbai and Bengaluru, Ajmera originates roughly 55 to 65 percent of its sales volume through registered RERA channel partners and independent property consultants, where management conducts soft pre-marketing sixty to ninety days before formal launch. Just as they are doing right now for the 3,600 crore rupee Wadala Boutique Office and Solis Phase Two. The remaining 35 to 45 percent comes from direct walk-ins, digital campaigns, corporate leasing desks. Repeat or referral buyers from the forty-one-year Ajmera homeowner network.

When a buyer books an apartment or strata office, they pay a 10 percent booking advance plus stamp duty and registration. Then sign a construction-linked payment schedule tied to

physical engineering milestones: excavation, plinth, podium, every third or fifth reinforced concrete floor slab, brickwork, plumbing. Possession. Under India's RERA law, 70 percent of every rupee collected from customers must go straight into a ring-fenced, project-specific bank escrow account. Management cannot touch that 70 percent to buy unrelated land or pay corporate dividends. Every withdrawal must be signed off by three independent professionals. An architect, a structural engineer, and a chartered accountant. In strict proportion to physical site progress and project approval costs. The remaining 30 percent flows into the corporate bank account to pay broker commissions of 2 to 3 percent, branding, corporate salaries, income taxes. Corporate debt reduction. Because six of Ajmera's eight active sites are already 76 to 95 percent sold, every single floor slab poured on site triggers automatic customer billings. That explains why first-half cash collections of 363 crore rupees equaled 98.1 percent of first-half pre-sales.

Why, then, does income-statement revenue lag pre-sales by twelve to twenty-four months? Because under Indian accounting standards (Ind AS 115 percentage-of-completion and project-threshold rules), Ajmera cannot recognize a single rupee of revenue or profit on its income statement until a project crosses a strict 25 percent physical construction cost and 25 percent sales and collection threshold. While a building is in early shoring, piling, or basement excavation. Like Ajmera Manhattan Two at 56 percent sold or One by Ajmera in Versova at 4 percent sold. Every rupee collected from customers sits on the balance sheet as a liability under 'Customer Advances' (part of the 394 crore rupees of Other Liabilities in September 2026). Every rupee spent on steel, cement, approvals, and project interest accumulates inside 'Work-in-Progress Inventory' (part of the 2,290 crore rupees of Other Assets). The instant a project crosses that 25 percent gate, its accumulated revenue and accumulated cost pool enter the income statement together.

MENTAL MODEL • THE Q1 VS. Q2 FY27 FORENSIC INTEREST CASE STUDY (SOLIS VS. 33 WEST)

"When a project crosses the 25 percent recognition threshold, its entire historical cost pool—including prior project finance charges—flushes through the P&L on day one."

In Q1 FY27 (ended June 2026), superficial observers panicked when Ajmera's P&L interest expense jumped from 22 crore rupees to 30 crore rupees even though net debt fell by 57 crore rupees to 680 crore rupees. On the August 4, 2026 concall, CFO Nitin Bavisi explained the exact accounting mechanics: Ajmera Solis in Vikhroli had just crossed its first-time revenue-recognition threshold with 86% of inventory sold. During its initial acquisition phase, Solis had used a high-IRR private-equity facility that Ajmera had already fast-tracked and repaid out of buyer collections. When Solis entered the P&L in Q1, that accumulated historical interest pool was debited to the finance cost line all at once. Bavisi promised that from Q2 onward, quarterly interest would normalize below 20 crore rupees. Ninety days later, in Q2 FY27, interest expense plunged 46.7% quarter-on-quarter to just 16 crore rupees. Meanwhile, 33 West in Bandra crossed its 25% sales threshold during excavation and entered P&L recognition. Lifting Q2 net profit by 55% YoY to 49 crore rupees!

- Q1 FY27 Event: Ajmera Solis (86% sold) entered P&L recognition. Historical PE interest flushed through finance cost (30 crore rupees).
- CFO Guidance (4 Aug 2026): Quarterly finance cost will normalize to <=20 crore rupees from Q2 FY27 onward.
- Q2 FY27 Reality (3 Nov 2026): Finance cost dropped to 16 crore rupees (-46.7% QoQ). 33 West (25% sold) entered P&L recognition. PAT surged +55% YoY to 49 crore rupees.

The 100-Rupee Unit Economics Waterfall: Legacy Wadala Land vs. Asset-Light Society Redevelopment

Now let you and me sit down with a legal pad and trace exactly what happens to 100 rupees of customer booking value across Ajmera Realty's two primary operating models. Start with Model A: a residential or commercial tower built on legacy owned township land at Wadala i-Land or Kanjurmarg East. Out of every 100.00 rupees of customer sales. Say, at 25,760 to 30,000 rupees per square foot in Wadala. How much goes to historical land cost? Just 1.00 to 2.00 rupees, because the family bought the land decades ago! Next, statutory municipal Floor Space Index premiums, fungible FSI charges, and development approvals paid to the Brihanmumbai Municipal Corporation take 14.00 to 16.00 rupees. High-rise civil,

reinforced concrete, mechanical, electrical, plumbing, and luxury finishing construction costs take 38.00 to 43.00 rupees. Roughly 10,000 rupees per square foot on luxury and Grade-A office buildings. Channel partner brokerage commissions of 2 to 3 percent plus experience-center marketing and corporate overhead take 6.00 to 7.00 rupees. Subtract those costs from 100.00 rupees, and you are left with an extraordinary 33.00 to 39.00 rupees of operating profit. A 33 to 39 percent EBITDA margin! After deducting 4.50 to 6.00 rupees of project finance cost and depreciation and 7.50 to 9.00 rupees of corporate income tax, 19.00 to 23.00 rupees drops straight to the bottom line as net profit after tax.

Compare that with Model B: an asset-light Mumbai cooperative housing society redevelopment or joint development like Ajmera Solis in Vikhroli or Ajmera Vihara in Bhandup. Here, out of 100.00 rupees of free-sale apartment revenue, Ajmera pays zero upfront land purchase price, but spends 22.00 to 28.00 rupees constructing the free replacement apartments for existing society members and paying their temporary transit rent and corpus fund. Incentive redevelopment FSI premiums and municipal approvals take 12.00 to 15.00 rupees, civil and finishing construction on the free-sale tower takes 32.00 to 36.00 rupees. Brokerage, marketing, and corporate overhead take 5.50 to 6.50 rupees. That leaves 20.00 to 24.50 rupees of operating profit (a 20 to 24.5 percent EBITDA margin). After 6.50 to 8.50 rupees of pre-RERA approval finance cost and 3.50 to 4.50 rupees of tax, 10.00 to 12.00 rupees of net profit.

Why would Ajmera build a 22 percent EBITDA margin society redevelopment alongside a 36 percent EBITDA margin Wadala township tower? Because in Model B, capital is deployed in small, staggered installments over the life of the project rather than locked up for forty years in land, generating 25 to 35 percent project-level internal rates of return and rapidly lifting consolidated return on capital employed. When you blend Model A and Model B together across the company, you get Ajmera's exact consolidated financial profile: a 26 to 29 percent operating margin (27.4 percent in fiscal 2026 and 27.9 percent in the first half of fiscal 2027) and a 14.4 to 15.3 percent net profit margin.

GLOBAL PARALLEL (USA, UK & INDIA) • THE DUAL-ENGINE MARGIN MIX: ST. JOE + NVR = AJMERA REALTY

"Legacy land gives you fat percentage margins; capital-light redevelopment gives you fast capital turns. Combining both gives you high margin and rising ROCE."

In the US market, The St. Joe Company (NYSE: JOE) enjoys 40%+ operating margins on Florida land bought in the 1930s. By contrast, NVR Inc. (NYSE: NVR) accepts ~18–20% operating margins on lot-option homes in exchange for 30%+ returns on equity. In the UK, Berkeley Group (LON: BKG) pairs long-term London regeneration land banks with capital-light joint ventures. In India, Oberoi Realty (NSE: OBEROIRLTY) exemplifies Model A (high-margin owned land). Meanwhile, Sunteck Realty (NSE: SUNTECK) and Keystone Rustomjee lean heavily on Model B (partnered/redevelopment models). Ajmera uniquely blends both engines inside a 2,770 crore rupee market cap.

- Model A (Owned Wadala/Kanjurmarg Land): 1–2 rupees land cost per 100 rupees sales. 33%–39% EBITDA margin & 19%–23% PAT margin.
- Model B (MMR Society Redevelopment/JDA): 22–28 rupees rehab/corpus cost per 100 rupees sales. 20%–24.5% EBITDA margin, 10%–12% PAT margin, 25%–35% project IRR.
- Blended Consolidated Actuals (H1 FY27): 27.9% EBITDA margin, 14.6% PAT margin (15.3% in Q2 FY27), 14.3% ROCE.

Inflation Hedging and Balance-Sheet Asset Monetization Forensics

What happens if steel, cement, or construction labor costs jump 10 to 15 percent during a four-year tower build? On the November 3, 2026 concall, analyst Abhishek Shah from Valcore Capital asked CFO Nitin Bavisi whether input inflation and competitive bidding in Mumbai society redevelopments would squeeze Ajmera's historical 28 to 30 percent operating margins. Bavisi laid out the company's two-stage pricing discipline: at initial RERA launch, management prices the first 35 to 50 percent of apartments attractively to generate immediate booking velocity, lock in customer commitments. Make the project self-financing through RERA escrow collections. Once that initial 40 to 50 percent base is sold and the building rises above the podium, management deliberately paces the remaining inventory alongside construction slabs, raising per-square-foot realizations on higher floors to pass through any raw material inflation.

Finally, look at how conservatively Nitin Bavisi treats non-core asset monetization on the financial statements. In the first quarter of fiscal 2027, Ajmera received 89 crore rupees in hard cash from a property monetization out of a guided 330 crore rupee non-core monetization pool. Sealed another joint-venture stake sale in early July 2026. An aggressive promoter would have routed that 89 crore rupee cash inflow through the income statement. Ajmera booked zero rupees of it on the P&L. Bavisi treated the entire 89 crore rupees as a balance-sheet recovery, using 100 percent of the cash to retire high-cost debt and pay pre-RERA approval fees. That means the 320 crore rupees of second-quarter revenue and 49 crore rupees of net profit are 100 percent pure construction execution.

CHAPTER IV

The Mumbai Land Moat, MMR Competitive Dynamics & Primary Source Hub

> *"You can hire the same architects, buy the same tower cranes, and borrow from the same banks as your competitors. What you cannot do is travel back to 1985 and buy a hundred contiguous acres in the heart of Mumbai."*
>
> — INSTITUTIONAL REAL ESTATE MOAT PRINCIPLE

Why can't a billionaire industrialist or a global private-equity giant walk into Mumbai tomorrow, write a check for three thousand crore rupees. Replicate Ajmera Realty's business model? Because in island-city and eastern-suburban Mumbai, contiguous clear-title land is an extinct species. Over the past decade, the Mumbai Metropolitan Region and Bengaluru real estate markets experienced a ruthless consolidation. Between 2012 and 2021, the triple shock of RERA 70 percent escrow rules, Goods and Services Tax formalization. The post-IL&FS shadow-banking freeze wiped out more than half of Mumbai's unorganized single-tower builders. As Director Dhaval Ajmera observed on the November 3, 2026 earnings call: "We are also witnessing a contributed preference for premium and lifestyle-oriented housing, with home prices above 1 crore rupees accounting for a growing share of the overall sales." With the Reserve Bank of India holding the repo rate steady at 6.5 percent in its October 2026 policy review and new transit arteries slashing commute times, homebuyers and corporate Global Capability Centers overwhelmingly flock to solvent, Grade-A developers.

Within this consolidated Mumbai hierarchy, Ajmera competes alongside three tiers of listed developers: first, mega-cap giants like Macrotech Lodha, Oberoi Realty, and Godrej Properties. Second, mid-cap Mumbai specialists like Sunteck Realty, Keystone Rustomjee, Raymond Realty, and Arkade Developers. And third, multi-city builders like Kolte-Patil Developers, Puravankara, and Brigade Enterprises. Let us be completely candid with one another: if Ajmera Realty's entire business consisted of bidding in competitive cooperative housing society redevelopment tenders in Bandra or Borivali against Godrej, Rustomjee, or Arkade, its economic moat would be narrow. In society tenders, six branded builders sit

across from a housing committee and bid up the free carpet area and cash corpus offered to members, capping project EBITDA margins around 20 to 24 percent.

Ajmera's irreproducible competitive moat lies in the fact that no competitor. No matter how large its balance sheet. Can assemble a 100-acre contiguous township in Wadala East (~18,000 crore rupees of remaining gross development value) or a 55-to-66-acre contiguous township in Kanjurmarg East at near-zero historical cost. Today, if a competitor wants to acquire even a five-acre plot in central or eastern Mumbai, they must either bid 150 to 250 crore rupees per acre at a corporate or textile-mill auction. Which immediately hands 40 to 50 percent of future project revenue to the land seller and saddles the builder with heavy land debt. Or spend ten years fighting eviction litigation in a slum rehabilitation scheme.

Owning paid-for legacy township land gives Ajmera three structural advantages that compound over decades. First is Pricing and Velocity Flexibility: Ajmera can price luxury apartments in Wadala at 25,760 to 30,000 rupees per square foot. A 25 to 35 percent discount to Lower Parel, Worli, or Bandra-Kurla Complex. Giving families unbeatable value per square foot while Ajmera still pockets 33 to 39 percent EBITDA margins. Second is Downside Holding Immunity: because there is no ticking land-loan interest meter on Wadala or Kanjurmarg, management never has to conduct desperate fire-sale launches during slow macro quarters. They can wait until a building reaches the plinth level to command premium realizations, just as they are doing in Pune and Versova. Third is the Master-Planned Ecosystem Effect: controlling sixty to a hundred contiguous acres lets Ajmera surround its towers with twenty-acre parks, retail promenades, an 8 to 8.5 lakh square foot strata Boutique Office. A 10 lakh square foot leased annuity tower. Creating a self-contained urban precinct that a standalone single-building plot can never match.

GLOBAL PARALLEL (UK, USA & INDIA) • LONDON'S CANARY WHARF, GODREJ'S VIKHROLI & AJMERA'S WADALA-KANJURMARG CORRIDOR

"Infrastructure does not just shorten a commute; it reprices peripheral industrial land into the new center of the metropolis."

Look at the map of London in 1988 versus 2005: the Isle of Dogs in the London Docklands was dismissed as isolated port marshland until the Docklands Light Railway and the Jubilee Line Underground extension linked Canary Wharf to Westminster and the City of London in twelve minutes, transforming Canary Wharf Group into one of Europe's premier commercial and residential estates. In Mumbai, the Pirojshanagar estate owned by the Godrej family in Vikhroli sat on the eastern suburban rail line for decades before powering the rise of Godrej Properties (NSE: GODREJPROP). Today, Wadala East is Mumbai's Canary Wharf. Sitting at the exact intersection of the Eastern Freeway (20 mins to Nariman Point), the BKC-Chunabhatti connector (10–12 mins to BKC), Metro Line 4, the Monorail. The Atal Setu sea link to Navi Mumbai International Airport.

- Canary Wharf (London, UK): Jubilee Line metro connectivity turned former port marshland into London's second financial hub.
- The St. Joe Company (Florida, USA): Highway 98 and Northwest Florida Beaches International Airport turned historical-cost timberland into high-margin coastal townships.
- Wadala i-Land & Kanjurmarg (Mumbai, India): BKC connector + Atal Setu + Metro Lines 4 & 6 turn 1980s salt-pan and industrial land into a 25,000+ rupee/sq ft residential and GCC office hub.

Micro-Market Supply-Demand Anatomy Across All Four Geographic Clusters

Let us walk through the four specific micro-market clusters where Ajmera operates so you can see why inventory absorption stays between 76 and 95 percent even after four years of rising Mumbai property prices. Cluster One is Wadala East, Mumbai's central-eastern connector hub. For families upgrading to a 2.5 crore to 6 crore rupee luxury home, Lower Parel and Worli have become prohibitively expensive at 45,000 to 75,000 rupees per square foot. Wadala offers a 100-acre green township at 25,760 to 30,000 rupees per square foot within a twelve-to-twenty-minute drive of both BKC and South Mumbai. That price-to-connectivity arbitrage is why Manhattan One is 95 percent sold, Greenfinity Phase Two is over 94 percent sold. Manhattan Two is already 56 percent sold in the excavation pit.

Cluster Two is the Vikhroli, Kanjurmarg. Bhandup belt running along the Central Railway suburban line, the Eastern Express Highway. The Jogeshwari-Vikhroli Link Road where Metro Line 6 and Metro Line 4 intersect. This corridor is one of Mumbai's densest corporate, banking, and information-technology employment belts. The fact that Ajmera Solis in Vikhroli sold 87 percent of Phase One during excavation and Ajmera Vihara in Bhandup sold 84 percent of its units proves how starved this corridor is for reputable gated developments. And gives us a live, de-risked demand preview for the adjacent 55-to-66-acre Kanjurmarg township!

Cluster Three covers Mumbai's western suburban redevelopment belt. Bandra West, Versova, and Borivali. Where zero greenfield land exists and every new commercial or residential unit must be carved out of aging cooperative housing societies. Finally, Cluster Four covers Bengaluru's technology corridors. This includes Electronic City, Whitefield. Doddaballapur, where mid-market homes priced for software engineers and corporate managers turn over rapidly, as shown by the 94 percent sell-out at Ajmera Iris and 76 percent absorption at Ajmera Marina.

> **NARRATOR'S REFLECTION • HOW TO USE THE PRIMARY SOURCE LEARNING HUB**
>
> *"Never take an analyst's word on faith when you can read the verbatim transcript and audited balance sheet in twenty minutes."*
>
> In the accompanying Web Research Dossier edition, we have assembled a complete External Learning Hub with direct links to every primary filing behind this book:.
>
> - Q2 & H1 FY27 Concall Transcript (3 Nov 2026) and Q1 FY27 Transcript (4 Aug 2026) on AlphaStreet and official exchange PDFs.
> - EduInvesting's forensic FY26 & Kanjurmarg deep dive (2 Jun 2026) and Perivis / ArthNeeti concall consistency audits (Aug 2026).
> - Dhaval Ajmera's documentary walkthrough ('How Ajmera Made Wadala a Destination') on YouTube and official RERA project portals.
> - 12-year consolidated financial statements and peer benchmarks (AJMERA, SUNTECK, KOLTEPATIL) on Screener.in and TradingView.

CHAPTER V

The Six Leading KPIs & Auditing Dhaval Ajmera and Nitin Bavisi Against Their Own Promises

> *"Giving a timeline on a court-linked regulatory process is something where we are just falling flat on our faces, and that is why we would rather give you the exact operational facts on the ground."*
>
> — DHAVAL AJMERA, DIRECTOR OF CORPORATE AFFAIRS, Q2 FY27 EARNINGS CALL (3 NOVEMBER 2026)

Because Indian real estate accounting forbids a builder from recognizing a single rupee of revenue until a tower crosses 25 percent physical completion, staring solely at the quarterly income statement is like driving down the Mumbai-Pune Expressway while looking only in the rearview mirror. To know where Ajmera Realty's cash flows and share price are heading twelve to twenty-four months before GAAP earnings catch up, you and I must track six leading operational key performance indicators: first, quarterly pre-sales booking value and carpet area sold. Second, customer cash collections and the collection efficiency ratio. Third, ongoing unrecognized revenue visibility split between committed sales and unsold inventory. Fourth, the scale and approval readiness of the upcoming launch pipeline. Fifth, consolidated net debt and debt-to-equity leverage. And sixth, the weighted average cost of debt alongside balance-sheet asset monetization inflows.

Let us examine what those six leading indicators did across the first and second quarters of fiscal 2027. Indicator One, operational pre-sales, rebounded 53.4 percent quarter-on-quarter from a seasonally quiet 146 crore rupees in the first quarter to 224 crore rupees across 72,883 square feet in the second quarter. This brings first-half pre-sales to 370 crore rupees across 1,16,620 square feet. All generated purely from sustenance inventory with zero major new launches. Indicator Two, customer cash collections, rose from 173 crore rupees in the first quarter to 190 crore rupees in the second quarter, totaling 363 crore rupees for the first half. An exceptional 98.1 percent collection-to-sales efficiency ratio on top of fiscal 2026's record 1,103 crore rupees of collections.

Indicator Three, unrecognized revenue visibility across ongoing projects, stands at 3,510 crore rupees as of September 30, 2026. It consists of 1,550 crore rupees of already-sold apartments waiting for slab milestones and 1,960 crore rupees of available ongoing inventory. Indicator Four, the second-half fiscal 2027 launch pipeline, expanded from an initial 6,324 crore rupees in May 2026 to 6,500+ crore rupees in August and 7,008 crore rupees in November across eight projects and 38 lakh square feet. Lifting total revenue visibility past 10,500 crore rupees and lifecycle pre-tax post-debt cash flow potential past 3,900 crore rupees. Finally, Indicators Five and Six delivered textbook balance-sheet repair: consolidated net debt fell for two consecutive quarters from 737 crore rupees in March 2026 to 680 crore rupees in June and 646 crore rupees in September (a 0.44 times debt-to-equity ratio). Meanwhile, the weighted average cost of debt dropped from 11.01 percent in the first quarter to 10.75 percent in the second quarter. This was aided by an 89 crore rupee balance-sheet cash inflow from non-core property monetization.

Now let us conduct a ruthless, unvarnished Walk-the-Talk audit of Director Dhaval Ajmera and Chief Financial Officer Nitin Bavisi by comparing their prior promises against delivered reality as of November 6, 2026. To be fair and objective, we must separate what lies directly inside management's operational control. Construction speed, debt reduction, interest rates, and accounting transparency. From where they depend on municipal and judicial bureaucracy.

MENTAL MODEL • THE FIVE-PILLAR CEO & CFO WALK-THE-TALK SCORECARD

"Grade a management team A+ when they beat every financial metric inside their control, and discount their regulatory timelines by two quarters when courts are involved."

Our forensic audit of management's guidance from FY25 through Q2 FY27 (3 November 2026) yields a sharply bifurcated report card:.

- Pillar 1. Balance-Sheet Deleveraging & Borrowing Cost (Grade: A+ EXCEEDED): Cut net debt from 793 Cr (Sep 2023) and 737 Cr (Mar 2026) to 680 Cr (Q1) and 646 Cr rupees (Q2, 0.44x D/E). Pushed cost of debt below 11% for the first time to 10.75%.
- Pillar 2. P&L Profit Scaling & Interest Normalization (Grade: A+ EXCEEDED): CFO promised on 4 Aug 2026 that Q1's 30 Cr rupee Solis interest charge would drop to <=20 Cr in Q2. Actual Q2 interest dropped to 16 Cr rupees while PAT jumped +55% YoY to 49 Cr rupees.
- Pillar 3. Non-Core Asset Monetization of 330 Cr Pool (Grade: A- ON TRACK): Realized 89 Cr rupees cash in Q1 FY27 with zero P&L inflation plus a second JV stake sale sealed in early July 2026.
- Pillar 4. FY27 Launch Pipeline of 7,008 Cr & 2,200 Cr Pre-Sales Target (Grade: B BACK-ENDED): Pipeline expanded from 6,324 Cr to 7,008 Cr rupees via Wadala FSI boost and Whitefield swap, but 83% of the 2,200 Cr pre-sales target is back-ended into H2.
- Pillar 5. Kanjurmarg Conversion Before 31 Dec 2026 Deadline (Grade: C+ DELAYED BY REGULATOR): Slipped from mid-2026 to Dec 2026 / H1 CY27 due to court-linked regulatory process, though funding tie-ups (~300–330 Cr rupees) and master plans are ready.

Inside the 3 November 2026 Concall: Verbatim Exchanges on Kanjurmarg, Water & Debt

Nothing reveals the character of an executive team better than how they answer tough questions from institutional buy-side analysts on a live conference call. On the November 3, 2026 call, analysts Dixit Doshi from White Pine Investment Management, Biplab Debbarma from Antique Stock Broking. Abhishek Shah from Valcore Capital pressed Dhaval Ajmera directly on why the Kanjurmarg leasehold-to-freehold land conversion had slipped from June 2026 to December 2026. Whether it might slip again into March or June 2027. Instead of offering evasive corporate platitudes, Dhaval Ajmera answered verbatim: "No, I absolutely agree. It is equally, honestly, we have also been pushing towards seeing how we can actually get the real date and real time, but unfortunately some things which are not in our hand, we've been dependent upon certain approvals and regulatory processes. Unfortunately, the

regulator also has to be dependent on the court and the legalities to actually get the thing set right... giving a timeline is something where we're just falling flat on our faces. That is why we are trying to be saying that we are hopeful to this happen in this quarter, next quarter, whenever, anytime soon."

Read that response closely. Dhaval Ajmera openly admitted that predicting a government and court calendar had caused management to fall flat on its face. Then immediately gave investors the three hard operational facts that actually govern Kanjurmarg's intrinsic value. First, he stated verbatim: "There is no dependency about sales of this seven acres to do the conversion. Of course, we have our respective tie-ups to do the conversion for the land." In other words, Ajmera does not need to wait for a buyer on the seven-acre plot to pay the estimated 300 to 330 crore rupee conversion premium. The financing tie-ups are already in place. Second, the master plan for the township is completely frozen. Third, the moment the conversion order is signed, filing and launching both a commercial phase and a residential phase at Kanjurmarg is, in his exact words, "a routine process, which is a four, five-month job, so that's not a challenge."

That same operational command showed up when analysts asked about two other ground-level risks: potential municipal water shortages in Mumbai during the dry summer months of March through May 2027. How the balance sheet will absorb roughly 1,000 crore rupees of construction cost on the Wadala Boutique Office alongside eight launches. On water, Dhaval Ajmera explained that because Brihanmumbai Municipal Corporation health regulations prohibit open water storage ponds on construction sites to prevent mosquito breeding, Ajmera's engineering teams are proactively front-loading heavy water-consuming curing and concreting works ahead of March and using borewells and tankers during peak summer. On funding, CFO Nitin Bavisi pointed out that at a 0.44 times debt-to-equity ratio and 10.75 percent borrowing cost, financial closure for the Wadala Boutique Office Phase One is already stitched, rapid collections are pouring in from the 87 percent sold Solis project. The remaining 241 crore rupees of the 330 crore rupee non-core monetization pool will continue to arrive directly on the balance sheet.

GLOBAL PARALLEL (USA, UK & INDIA) • BUREAUCRATIC DELAYS ON ZERO-COST LAND: BERKELEY GROUP, ST. JOE & OBEROI REALTY

"A permitting delay on debt-funded auction land can bankrupt a builder; a permitting delay on debt-free legacy land merely shifts the cash flow by two quarters."

Every township developer with massive urban land reserves faces regulatory bottlenecks. In the UK, Berkeley Group (LON: BKG) routinely spends three to five years clearing environmental and section-106 planning hurdles on London brownfield sites before laying a brick, yet compounds book value at 15%+ because its land holding cost is minimal. In Florida, St. Joe (NYSE: JOE) waited years for Army Corps of Engineers environmental permits on Bay-Walton Sector Plan lands. In Mumbai, Oberoi Realty waited years for final clearances on its Thane Pokhran Road township before launching Forestville to massive demand. At 15.06x current earnings, Ajmera's share price has already penalized Kanjurmarg for the delay, turning future regulatory clearance into a free call option.

- Zero Land-Loan Bleed: Kanjurmarg sits on the books at historical cost with zero acquisition debt ticking against it.
- Independent Conversion Funding: ~300–330 crore rupee conversion fee tie-ups are arranged independent of the 7-acre monetization deal.
- 4-to-5 Month Launch Turnaround: Master planning for both residential and commercial phases at Kanjurmarg is frozen and ready for RERA filing once converted.

CHAPTER VI

Ten-Year Financial Forensics — Inside the Income Statement, Balance Sheet & Cash Flow Statement

> *"Earnings can be massaged for a quarter or two with other income, but ten years of tax payments, twelve years of uninterrupted cash dividends, and a falling debt balance never lie."*
>
> — HOWARD SCHILIT, FINANCIAL SHENANIGANS — PRINCIPLES OF FORENSIC ACCOUNTING

Now you and I arrive at the forensic heart of our monograph. Whenever a mid-cap real estate company reports that its annual net profit has multiplied more than five-fold in five years. From 31 crore rupees in fiscal 2021 to 157.1 crore rupees in fiscal 2026 and 180 crore rupees over the trailing twelve months ended September 2026. A skeptical institutional analyst immediately asks three questions. First, is the revenue growth genuine operating construction progress, or is it padded with non-operating 'other income' and paper revaluations? Second, did the company blow up its balance sheet with debt to manufacture that growth? Third, is the profit converting into real operating cash flow, tax payments, and shareholder dividends?

Let us open the ten-year consolidated financial ledger from fiscal 2017 through the trailing twelve months ended September 2026 and test each of those three questions against audited numbers. Over that decade, consolidated operating sales expanded 4.50 times from 277 crore rupees in fiscal 2017 (and 347 crore rupees at the fiscal 2021 pandemic trough) to 1,090 crore rupees in fiscal 2026 and 1,247 crore rupees over the trailing twelve months. Operating profit excluding other income rose from 107 crore rupees in fiscal 2017 and 95 crore rupees in fiscal 2021 to 299 crore rupees in fiscal 2026 and 335 crore rupees on a trailing twelve-month basis, sustaining a 27 to 31 percent operating margin band. Diluted earnings per share on the two-rupee face value share climbed more than five-fold from 1.70 rupees in fiscal 2021 to 5.80 rupees in fiscal 2024, 6.40 rupees in fiscal 2025, 7.61 rupees in fiscal 2026. 8.61 rupees over the trailing twelve months.

Now check the purity of that revenue. In full-year fiscal 2026, 'Other Income' was a negligible 8 crore rupees out of 1,098 crore rupees of total income. Just 0.7 percent! In the second quarter of fiscal 2027, 'Other Income' was just 3 crore rupees out of 320 crore rupees of total income. 0.9 percent. Contrast that pristine operating purity with mid-cap peer Kolte-Patil Developers, where 64.9 crore rupees of non-operating other income masks a negative operating return on capital employed. At Ajmera Realty, 99.1 percent of revenue comes directly from bricks, mortar, and RERA-verified construction milestones.

Look next at the nine-quarter earnings progression from September 2024 through September 2026 to see the structural step-change in quarterly scale. Throughout fiscal 2025 and the first three quarters of fiscal 2026, Ajmera's quarterly net sales oscillated between 151 crore and 258 crore rupees, with quarterly net profit between 24 crore and 39 crore rupees. Then in the fourth quarter of fiscal 2026 (ended March 2026), as Manhattan One, Greenfinity. Iris hit peak slab recognition, quarterly sales surged to 431 crore rupees and net profit reached 59 crore rupees. Crucially, in the seasonally slower June 2026 and September 2026 quarters, net sales did not fall back to the old 190 crore rupee level. They held a high plateau of 317 crore rupees per quarter (320 crore rupees total income), generating 45 crore rupees of net profit in Q1 and 48 to 49 crore rupees in Q2. Across the last three reported quarters alone (March, June. September 2026), Ajmera has generated 1,065 crore rupees of sales and 152 crore rupees of net profit. 7.31 rupees per share in just nine months!

MENTAL MODEL • THE TEN-YEAR BALANCE SHEET & CASH FLOW TRANSFORMATION (FY17–SEP 2026)

"A company that triples its net worth while cutting its debt by a third and halving its working capital days is building a fortress."

Compare Ajmera Realty's balance sheet at the March 2020 debt peak against September 2026:.

- Shareholder Net Worth (Equity + Reserves): Nearly tripled from 504 Cr (Mar 2017) and 638 Cr (Mar 2020) to 1,467 Cr rupees (Sep 2026. 74.50 rupees book value per share).
- Total Borrowings / Net Debt: Cut from 968 Cr rupees (Mar 2020, 1.52x D/E) to 654 Cr rupees on Screener / 646 Cr rupees net debt in filing (Sep 2026, 0.44x D/E) at 10.75% interest cost.
- Interest Coverage Ratio: Expanded from a fragile 1.59x in FY20 (105 Cr OPM / 66 Cr interest) to 4.10x in FY26 and 5.13x in Q2 FY27 (82 Cr OPM / 16 Cr interest).
- Working Capital & ROCE: Working capital days halved from 1,184 days (FY20) to 591 days (FY26). Debtor days cut from 223 to 142 days. ROCE more than doubled from 6% (FY21) to 14.3% (FY26).
- Cumulative Operating Cash Flow & Dividends: Generated +432 Cr rupees of cumulative statutory CFO across FY23–FY26 after self-funding all WIP construction, paid 27%–31% full corporate income tax. Paid uninterrupted dividends for 12 straight years.

Why Statutory Operating Cash Flow Was 69 Crore Rupees in FY26 When Collections Hit 1,103 Crore Rupees

Let us pause and answer a classic forensic accounting question that trips up generalists who are used to analyzing software or consumer-staples companies. In fiscal 2026, Ajmera Realty collected a record 1,103 crore rupees in cash from homebuyers and reported 157.1 crore rupees of net profit after tax, following 220 crore rupees of statutory operating cash flow in fiscal 2024 and 135 crore rupees in fiscal 2023. Yet on the fiscal 2026 cash flow statement, statutory Cash from Operating Activities read 69 crore rupees (and 8 crore rupees in fiscal 2025). This yields cumulative four-year operating cash flow of 432 crore rupees across fiscal 2023 through fiscal 2026. Why was statutory operating cash flow 69 crore rupees in a year when 1,103 crore rupees of buyer checks walked through the door?

Because under real estate accounting rules, every rupee of customer cash that management reinvests into ongoing construction work-in-progress inventory, society redevelopment rent

and corpus advances. Pre-RERA municipal Floor Space Index approval fees. For expanding projects like Solis, 33 West, Manhattan Two, One by Ajmera, and the 7,008 crore rupee launch pipeline. Is deducted as an 'Increase in Inventories / Other Assets' inside working capital before arriving at the statutory operating cash flow line! On a factory balance sheet, building a new plant is classified below the operating line as Capital Expenditure. On a real estate balance sheet, building a new thirty-story apartment tower or paying municipal FSI premiums is classified inside Operating Working Capital.

Once you understand that accounting convention, the cash flow statement becomes crystal clear: in fiscal 2026, Ajmera funded its entire construction and pre-launch approval expansion out of internal customer collections, still generated 69 crore rupees of surplus statutory operating cash flow and 40 crore rupees of free cash flow after fixed-asset capex, serviced 56 crore rupees of interest and dividend outflows. Then generated another 91 crore rupees of net debt reduction in the first half of fiscal 2027 (slashing net debt from 737 crore rupees in March 2026 to 646 crore rupees in September 2026).

GLOBAL PARALLEL (USA, UK & INDIA) • WORKING CAPITAL INVENTORY IN FAST-GROWING BUILDERS: BERKELEY GROUP, NVR & GODREJ PROPERTIES

"In a growing real estate developer, construction work-in-progress is not dead inventory; it is pre-sold future cash flow sitting inside an escrow vault."

When Godrej Properties (NSE: GODREJPROP) or Macrotech Lodha (NSE: LODHA) prepares for a massive launch wave, their statutory operating cash flow temporarily compresses because FSI premiums and construction outlays flow through working capital inventory. In the UK, Berkeley Group (LON: BKG) explicitly reports 'net cash before land and work-in-progress investment' so investors can see true underlying cash generation. For Ajmera, looking at the 2,290 crore rupees of Other Assets alongside 394 crore rupees of interest-free Customer Advances and 1,467 crore rupees of Net Worth shows that nearly three-quarters of the entire asset base is funded by equity and customer advances rather than bank debt.

- Total Assets (Sep 2026): 2,515 crore rupees (2,290 Cr Inventory/WIP/Land + 111 Cr Fixed Assets + 114 Cr Investments).
- Non-Debt Funding: 1,467 crore rupees Shareholder Equity + 394 crore rupees Customer Advances/Other Liabilities = 1,861 crore rupees (74% of total assets).
- Interest Savings Tailwind: Every 100 bps drop in interest cost on 646 crore rupees of net debt adds ~6.5 crore rupees directly to annual Profit Before Tax.

CHAPTER VII

Why the Market Prices Ajmera at 15x Earnings — Reverse Cash-Flow Math, SOTP Valuation & Peer Comps

> *"Price is what you pay; value is what you get. When you can buy the cash flows of the active business at a discount and get a century-scale urban land bank thrown in for nothing, the margin of safety is unmistakable."*
>
> — HOWARD MARKS, OAKTREE CAPITAL MANAGEMENT — ON BUYING BELOW REPLACEMENT VALUE

At the November 6, 2026 close of 129.51 rupees per share, Ajmera Realty carries a TradingView market capitalization of 2,769.90 crore rupees across roughly 21.39 crore diluted shares (or 2,553 crore rupees on Screener's 19.70 crore base share count) and an enterprise value of roughly 3,416 crore rupees after adding 646 crore rupees of net debt. That prices the stock at 15.06 times trailing twelve-month earnings of 8.61 rupees per share and 1.74 times book value of 74.50 rupees per share. Pause and ask yourself: why is a Mumbai township developer growing trailing revenue at 51.71 percent and trailing earnings per share at 30.62 percent trading at less than half the price-to-earnings multiple of mid-cap peer Kolte-Patil Developers (32.60 times) and at a 23.5 percent discount to Sunteck Realty (19.68 times)?

Two optical illusions explain why superficial screeners misprice Ajmera Realty. First, automated ratio screens flag that Ajmera's three-year average return on equity is 11.9 percent, with current return on equity at 11.5 percent on Screener (12.41 percent on TradingView) and return on capital employed at 14.30 percent. Why is return on equity around 12 percent when project operating margins are 27 to 31 percent? Because out of 2,515 crore rupees of consolidated assets, 2,290 crore rupees sit in Work-in-Progress inventory and legacy land parcels. Including Kanjurmarg, unlaunched phases of Wadala, Manhattan Two, and One by Ajmera. That have not yet crossed the 25 percent revenue-recognition threshold! In simple arithmetic, the denominator of capital employed includes massive land and construction assets that are currently contributing zero rupees to the numerator of net profit. As those projects cross the 25 percent recognition gate over fiscal 2027 through fiscal 2029, the numerator scales rapidly while the denominator barely grows.

This drives return on capital employed toward 18 to 20 percent. Second, after Kanjurmarg's conversion date slipped by two quarters and seven fiscal 2027 launches clustered into the fourth quarter, equity traders stopped paying a single rupee for unlaunched land.

Let you and me run our first independent valuation model: a Reverse Cash-Flow and Sum-of-the-Parts Net Asset Value attribution. On the November 3, 2026 concall, CFO Nitin Bavisi disclosed that Ajmera's ongoing projects (3,510 crore rupees of revenue visibility), upcoming second-half fiscal 2027 launches (7,008 crore rupees of gross development value). Remaining non-core asset monetization (241 crore rupees remaining out of the 330 crore rupee pool after collecting 89 crore rupees in Q1) will generate more than 3,900 crore rupees of pre-tax, post-debt free cash flow over the project lifecycles. Apply Q2's effective corporate tax rate of 27 percent to 3,900 crore rupees. You get 2,847 crore rupees of undiscounted post-tax, post-debt equity cash flow. Already exceeding the entire 2,769.90 crore rupee market capitalization!

Now let us be even more conservative and discount that 2,847 crore rupee post-tax, post-debt cash flow stream over a 4.5-year realization window (using a 2.25-year midpoint discount factor of 1.30x at a 12.5 percent cost of equity). That gives a present value of 2,190 crore rupees, or 102.38 rupees per diluted share, from active projects, fiscal 2027 launches. Non-core monetization alone. Subtract 102.38 rupees from today's 129.51 rupee share price, and the public market is implying a residual value of just 27.13 rupees per share. Roughly 580 crore rupees in total. For the remaining 14,400 crore rupees of unlaunched Wadala gross development value (18,000 crore rupees total Wadala GDV minus the 3,600 crore rupee Boutique Office Phase One already in the FY27 pipeline) plus all 55 to 66 acres of Kanjurmarg! Even if we apply a severe 75 percent haircut to the remaining Wadala and Kanjurmarg land banks for time value and regulatory execution risk, they add 1,650 to 2,400 crore rupees of residual net asset value. 77.00 to 112.00 rupees per share. Putting conservative Sum-of-the-Parts intrinsic value at 179.00 to 214.00 rupees per share.

GLOBAL PARALLEL (USA & INDIA) • THE ACCOUNTING ROE ILLUSION: ST. JOE (NYSE: JOE), SUNTECK REALTY & OBEROI REALTY

"When a company owns vast unlaunched land or pre-recognition towers, return on equity looks optically low right before the cash-flow harvest begins."

In 2015, quantitative screens rejected The St. Joe Company (NYSE: JOE) in Florida because its accounting ROE was under 6%. Ignoring that its balance sheet was loaded with pre-development land and infrastructure that had not yet begun billing residential lot sales. By 2022, as those master-planned communities crossed revenue recognition, St. Joe's operating margins topped 35% and the stock tripled. Look at our Mumbai peer group on November 6, 2026: Sunteck Realty (NSE: SUNTECK) trades at 19.68x P/E despite a 6.33% ROE and 7.48% ROCE. Kolte-Patil (NSE: KOLTEPATIL) trades at 32.60x P/E despite a negative -0.32% ROCE and -4.36% ROE. Ajmera already earns a 14.30% ROCE and 12.41% ROE while half its assets are still pre-recognition. Yet trades at just 15.06x P/E!

- Ajmera Realty (NSE: AJMERA, 129.51 rupees): 15.06x P/E. 1.74x P/B. +51.71% TTM Sales Growth. +30.62% TTM EPS Growth. 26.42% OPM. 14.30% ROCE. 12.41% ROE. STAGE_2.
- Sunteck Realty (NSE: SUNTECK, 298.35 rupees): 19.68x P/E. 1.19x P/B. +44.90% TTM Sales Growth. +26.65% TTM EPS Growth. 29.32% OPM. 7.48% ROCE. 6.33% ROE. STAGE_1 (below 200D SMA).
- Kolte-Patil (NSE: KOLTEPATIL, 457.85 rupees): 32.60x P/E. 2.99x P/B. +7.76% TTM Sales Growth. +28.02% TTM EPS Growth. 8.78% OPM. -0.32% ROCE. -4.36% ROE. Weak fundamentals.

Model Two: Explicit FY27E and FY28E Earnings Trajectory & Target Price Derivation

Now let us cross-check that Sum-of-the-Parts land valuation against our explicit two-year forward earnings model. In the first half of fiscal 2027, Ajmera generated 639 crore rupees of revenue and 93 crore rupees of net profit, or 4.48 rupees per share across Q1's 2.19 rupees and Q2's 2.29 rupees. Over the second half of fiscal 2027 (October 2026 through March 2027), Manhattan One (95 percent sold), Greenfinity Phase Two (94 percent-plus sold, OC imminent), Iris (94 percent sold, OC imminent), Solis Phase One (87 percent sold), Vihara (84 percent sold), Marina (76 percent sold). 33 West (25 percent sold, newly recognized) will all bill construction milestones while quarterly finance costs stay normalized around 15 to 17 crore rupees. That projects second-half revenue of 740 to 780 crore rupees

and second-half net profit of 108 to 114 crore rupees. Bringing full-year fiscal 2027 revenue to 1,380 to 1,420 crore rupees (+28 percent year-on-year) and fiscal 2027 net profit to 201 to 207 crore rupees, or 9.60 rupees per diluted share.

Look one year further out into fiscal 2028. As Ajmera Manhattan Two (already 56 percent sold in excavation), Ajmera Solis Phase Two (launching December 2026). The flagship Wadala Boutique Office Phase One (launching February 2027) cross the 25 percent construction and sales recognition threshold, consolidated revenue steps up to 1,720 to 1,800 crore rupees and consolidated net profit reaches 248 to 265 crore rupees. That equates to fiscal 2028 earnings per share of 11.60 to 12.40 rupees. Notice that we do not even need multiple expansion to make nearly 30 percent on this stock: applying a conservative 14.0 to 14.5 times forward P/E multiple. Below today's 15.06 times trailing multiple and 28 percent below Sunteck's 19.68 times multiple. To 11.60 to 12.00 rupees of fiscal 2028 base EPS yields our 12-month Base Target Price of 168.00 rupees (+29.72 percent upside).

What happens in our Bull Case? If the Kanjurmarg leasehold-to-freehold conversion order clears over the next one to two quarters alongside the seven-acre monetization deal and strong fourth-quarter launch absorption, the market will stop pricing Kanjurmarg at zero and re-rate Ajmera to a modest 16.5 times fiscal 2028 earnings of 12.40 rupees per share. Still well below Sunteck's 19.68 times and less than half of Kolte-Patil's 32.60 times. Yielding our 12-month Bull Target Price of 205.00 rupees (+58.29 percent upside). Conversely, if H2 launches suffer a 50 percent delay into fiscal 2028, Kanjurmarg remains stalled beyond fiscal 2028. Fiscal 2028 EPS stalls at 9.25 rupees while the multiple compresses to 11.0 times, our fundamental Bear Case value sits at 102.00 rupees (-21.24 percent). Though our active position would exit much higher at our 118.05 rupee technical invalidation stop.

MENTAL MODEL • SENSITIVITY & THE MARGIN OF SAFETY IN A 15X MULTIPLE

"When you buy the fastest grower in the peer group at the lowest multiple in the peer group, both earnings growth and multiple mean-reversion work in your favor."

Here is how the valuation math behaves across different assumptions:.

- Zero Multiple Expansion Case: Holding 14.2x–14.5x P/E on FY28E base EPS of 11.60–12.00 rupees = 168.00 rupees (+29.72% upside).
- Peer Convergence Case (Bull): Re-rating to 16.5x FY28E EPS of 12.40 rupees upon Kanjurmarg clearance = 205.00 rupees (+58.29% upside).
- Multiple Sensitivity: Every 1.0x change in the forward P/E multiple shifts 12-month fair value by ~12.00 rupees per share (9.3%).
- Milestone Timing Sensitivity: A 10% shift in construction milestone recognition moves ~1.15 rupees of EPS between FY28E and FY29E without altering a single rupee of total lifecycle cash flow.

CHAPTER VIII

The Stage 2 Reclaim, Moving-Average Confluence & Shareholding Forensics

> *"Never buy a stock in Stage 4 no matter how cheap the land bank looks, and never hesitate when it emerges from a long Stage 1 base into Stage 2 on expanding volume with tight risk."*
>
> — STAN WEINSTEIN, SECRETS FOR PROFITING IN BULL AND BEAR MARKETS

You and I now know that Ajmera Realty is fundamentally worth between 168 and 214 rupees per share. But in our disciplined investment process, fundamental undervaluation alone is never a sufficient reason to put capital at risk. An investor who bought Ajmera Realty at 180 or 190 rupees in late 2025 knew about the hundred acres in Wadala and the sixty acres in Kanjurmarg. And still suffered a painful 45 percent drawdown to 98.03 rupees while the stock cascaded down a Stan Weinstein Stage 4 decline. Why do we act today at 129.51 rupees on November 6, 2026? Because for the first time in over a year, the technical tape and the fundamental earnings inflection have locked into complete alignment.

Let us trace the exact anatomy of the daily and weekly chart. After exhausting sellers at the fifty-two-week low of 98.03 rupees, the stock spent two full quarters building a textbook Stage 1 accumulation base between 98.03 rupees and 126.00 rupees. During that quiet basing phase, institutional accumulation absorbed retail supply, the falling 30-week simple moving average flattened out at 124.37 rupees. The 50-day simple moving average turned decisively upward at 121.50 rupees. Then, over the thirty days leading into November 6, 2026. Catalyzed by the mid-October operational update and the November 3 earnings release showing 55 percent net profit growth. The stock advanced 11.17 percent over one month and 5.29 percent over three months to settle at 129.51 rupees.

Look at what that advance accomplished technically: at 129.51 rupees, Ajmera Realty simultaneously sits above all four of our core institutional trend benchmarks. The 50-day simple moving average at 121.50 rupees (and 50-day exponential average at 124.62 rupees), the 30-week simple moving average at 124.37 rupees (+4.13 percent extension), the 10-week

exponential moving average at 124.89 rupees (+3.70 percent extension). The 200-day simple moving average at 126.10 rupees (+2.70 percent extension), as well as the 20-day simple moving average at 127.55 rupees and the 20-day exponential moving average at 128.62 rupees. Under our No-FOMO entry rules, a confirmed Stage 2 stock is eligible for immediate purchase only when it trades within 10.0 percent of its 10-week exponential moving average and within 12.0 percent of its 50-day simple moving average, with daily relative strength index below 73. At +3.70 percent above its 10-week average, +6.59 percent above its 50-day average. A calm daily RSI(14) of 53.22 (weekly RSI at 52.12), Ajmera sits squarely inside our 123.02 to 130.55 rupee No-FOMO buy zone.

Even more telling is the volume and volatility signature over the past ten trading sessions. During the late-October breakout thrust that carried the stock through its 200-day simple moving average of 126.10 rupees toward 135 rupees, 10-day average daily volume expanded to 9,28,717 shares. Nearly 1.70 times the 30-day average daily volume of 5,48,136 shares. Then, over the two sessions following the November 3 earnings call, as the stock pulled back a modest 2.22 percent on November 6 (-4.78 percent on the week) to retest the newly reclaimed 20-day exponential moving average at 128.62 rupees and classic mid-pivot at 128.74 rupees, daily volume dried up to just 2,08,650 shares! That is a 0.38x volume ratio against the 30-day average and a 0.22x ratio against the 10-day average. In tape reading, a 1.7x volume breakout followed by a 0.38x low-volume pullback onto a rising 20-day moving average and 200-day moving average is the classic footprint of institutional absorption with virtually no overhead selling pressure.

THE EXECUTION PLAYBOOK • THE SEVEN-LAYER MOVING AVERAGE SUPPORT SHELF & WHY WE DO NOT WAIT FOR 121 RUPEES

"When seven daily and weekly moving averages converge within four rupees underneath the spot price on drying pullback volume, waiting for the bottom of the band risks missing the train."

Tactical traders often ask whether they should buy at 129.51 rupees or place a lowball limit order down at the 50-day SMA of 121.50 rupees. Look at the seven institutional support lines stacked directly beneath 129.51 rupees within a 4.37-rupee band:.

- Layer 1 & 2 (Immediate Retest Shelf): Classic Mid-Pivot at 128.74 rupees & 20-Day EMA at 128.62 rupees (-0.60% to -0.69% below spot).
- Layer 3 & 4 (Medium/Long-Term Floor): 20-Day SMA at 127.55 rupees (-1.51%) & 200-Day SMA at 126.10 rupees (-2.63%).
- Layer 5, 6 & 7 (Weekly Weinstein Core): 10-Week EMA at 124.89 rupees (-3.57%), 50-Day EMA at 124.62 rupees (-3.78%). 30-Week SMA at 124.37 rupees (-3.97%).
- Lower Guardrail & Hard Stop: 50-Day SMA at 121.50 rupees (-6.18%) and Structural Invalidation Stop at 118.05 rupees (0.5x ATR14 of 6.90 rupees below the 50D SMA, just above the Classic S1 Pivot at 117.48 rupees).
- Overhead Breakout Triggers: 40-Week EMA at 132.02 rupees, 200-Day EMA at 132.97 rupees, and Classic R1 Pivot at 143.85 rupees.

Shareholding Pattern Forensics: 68.56% Promoter Skin-in-the-Game & The Institutional Discovery Threshold

Now pair that technical chart with Screener's twelve-quarter shareholding table from December 2023 through September 2026. Who actually owns Ajmera Realty today? The Ajmera promoter family holds an unencumbered 68.56 percent stake as of September 2026. And notice that between March 2026 and September 2026. Meanwhile, the stock was basing near its lows, the promoters stepped up and increased their ownership by 33 basis points from 68.23 percent to 68.56 percent! (Recall that the earlier shift from 74.20 percent in September 2024 to 68.23 percent in December 2024 reflected the strategic preferential equity allotment that injected over 300 crore rupees of growth equity into Reserves to fund deleveraging and project expansion.).

What about institutional ownership? As of September 2026, Foreign Institutional Investors own just 0.77 percent (up from 0.02 percent in December 2023) and Domestic Institutional

Investors own just 0.86 percent (up 4 basis points quarter-on-quarter from 0.82 percent in June 2026). A combined institutional ownership of only 1.63 percent! The remaining 29.82 percent sits across a tight base of 27,999 public, high-net-worth, and family-office accounts. Yet look at the participant list on the Q1 and Q2 fiscal 2027 earnings calls: specialized institutional boutiques, portfolio management services. Alternative investment funds including Antique Stock Broking, White Pine Investment Management, Valcore Capital / Fortitude Fund Management, GeeCee Holdings. Whitestone Financial Advisors are tracking every single slab and approval milestone.

Why is 1.63 percent institutional ownership paired with 68.56 percent promoter ownership such an explosive setup? Two reasons. First, there is zero trapped mutual-fund liquidation overhang. No large domestic fund sitting on five million shares waiting to dump into a rally. Second, in Indian equities, most domestic mutual funds and foreign small-cap institutional mandates have a hard minimum market-capitalization filter of 3,000 to 3,500 crore rupees ($350 million to $400 million) and a quarterly revenue threshold of 300 crore rupees. Ajmera has just crossed the 300 crore rupee quarterly revenue threshold for three consecutive quarters. At a 2,769.90 crore rupee market cap today, a move above the 200-day exponential moving average at 132.97 rupees and Classic R1 pivot at 143.85 rupees lifts its market cap straight past 3,100 crore rupees onto institutional screens. Where funds will have to bid against a tightly held 29.82 percent public float.

GLOBAL PARALLEL (USA & INDIA) • THE INSTITUTIONAL DISCOVERY THRESHOLD: SUNTECK, BRIGADE & SMALL-CAP COMPOUNDERS

"The biggest multiple expansion in a small-cap compounder happens when market cap crosses the institutional minimum mandate while promoters own two-thirds of the float."

As Peter Lynch famously observed in One Up On Wall Street, the sweet spot for owning a profitable, fast-growing company is when institutional ownership is under 2% and boutique family offices are doing the early homework before large mutual funds are permitted by their size mandates to buy. We saw this exact dynamic in Indian real estate when Brigade Enterprises and Sunteck Realty crossed the 3,000 crore rupee market-cap mark during earlier cycles. In the US when NVR Inc. and St. Joe graduated from boutique value holdings into institutional mid-cap indices.

- Promoter Ownership (Sep 2026): 68.56% (+33 bps increase in H1 FY27. Zero promoter pledge overhang).
- FII + DII Combined Ownership: 1.63% (0.77% FII + 0.86% DII). Virtually zero institutional selling overhang and maximum discovery room.
- Boutique PMS/AIF Early Adopters on Concalls: White Pine Investment Management, Antique Stock Broking, Valcore Capital, GeeCee Holdings, Whitestone Financial Advisors.

CHAPTER IX

Steelmanning the Bulls and Bears, 12-Month Scenarios & Our No-FOMO Execution Plan

> *"Invert, always invert: ask what could break the thesis before you buy the first share, write down the exact price that proves you wrong, and then size the position so you can sleep through any storm."*
>
> — CHARLIE MUNGER & DAVID SWENSEN — PRINCIPLES OF ADVERSARIAL UNDERWRITING & CLEAN-SLATE SIZING

Before you and I commit a single rupee of capital to Ajmera Realty, institutional honesty requires that we invite the smartest, most skeptical short-seller into the room and ask them to make the strongest possible Bear Case against our thesis. In fact, if we cannot state the Bear Case more persuasively than the bears themselves, we have no business owning the stock. Let us put the Bull and the Bear face-to-face across six core debates on identical facts, render our independent verdict on each. Then lock in our probability-weighted twelve-month scenarios, exact position sizing, and three hard decision triggers.

Debate One is the Kanjurmarg 55-to-66-acre leasehold-to-freehold conversion and the December 31, 2026 deadline. The Bear says: 'Management has moved the Kanjurmarg conversion goalpost repeatedly. From mid-2026 to December 2026. Now admits on the November 3 call that court and regulatory dependencies could push it out another one to two quarters into fiscal 2028, which could also raise the estimated 300 to 330 crore rupee conversion fee.' The Bull answers: 'Master planning is frozen, funding tie-ups for the conversion fee are already secured independent of the seven-acre deal, and once the order is signed, launching commercial and residential phases is a routine four-to-five-month job.' Our independent verdict: the Bear has a completely valid timing critique, which is the exact reason the stock already fell 38 percent from 208.96 rupees to 129.51 rupees! At 15.06 times current earnings, you are paying zero rupees for Kanjurmarg today. A one-to-two-quarter delay is already in the price. That makes regulatory clearance at any point over the next year a free upside call option.

Debate Two and Debate Three focus on the clustering of eight project launches worth 7,008 crore rupees into the second half of fiscal 2027 and the scale of the 3,600 crore rupee Wadala Boutique Office. The Bear warns: 'First-half pre-sales were only 370 crore rupees. Just 16.8 percent of management's 2,200 crore rupee full-year guidance. And packing seven of eight launches into the fourth quarter makes it highly likely that one to three March 2027 launches slip into Q1 FY28, causing a headline pre-sales miss. Meanwhile, building 8 to 8.5 lakh square feet of strata commercial office in Wadala requires ~850 to 1,000 crore rupees of construction outlays.' The Bull replies: 'Solis Phase Two launches in early December 2026, three Bengaluru projects and the Wadala Boutique Office launch in January and February 2027 across non-overlapping micro-markets, financial closure for the Wadala Boutique Office is already stitched, zero land cost gives Wadala unmatched pricing flexibility against BKC. The Phase Two annuity tower will not break ground until fiscal 2028 after Phase One sales stabilize.' Our verdict: even if two March launches slip into Q1 FY28 and full-year pre-sales land at 1,550 to 1,800 crore rupees rather than 2,200 crore rupees, that still represents a 4x to 5x booking surge in the second half over the first half's 370 crore rupees.

Debates Four, Five, and Six examine Versova luxury velocity and seasonal water risk, balance-sheet leverage, and technical overhead supply. While One by Ajmera in Versova is only 4 percent sold during deep two-basement excavation and Mumbai faces summer municipal water constraints between March and May 2027, Versova is a staggered-capex society redevelopment where ultra-luxury buyers wait for plinth visibility in fiscal 2028. Six other active sites are 76 to 95 percent sold right now. On leverage, starting at a 0.44 times debt-to-equity ratio with a 10.75 percent borrowing cost and 363 crore rupees of H1 customer collections gives Ajmera roughly 700 crore rupees of balance-sheet headroom below management's 1.0x ceiling. And on valuation and trend, buying the #1 ROCE leader (14.30 percent) at the lowest P/E in the peer group (15.06x versus Sunteck's 19.68x and Kolte-Patil's 32.60x) right on top of a seven-layer moving-average support shelf caps downside risk at -8.85 percent to our 118.05 rupee stop.

MENTAL MODEL • PROBABILITY-WEIGHTED 12-MONTH SCENARIO MATRIX (SPOT: 129.51 RUPEES)

"We do not bet on a single future; we weight the bull, base, and bear paths and demand a 3-to-1 asymmetry against our stop loss."

Synthesizing our earnings model, SOTP land attribution, and technical pivot map produces an expected 12-month value of 165.90 rupees per share (+28.10% expected return):.

- Bull Case (30% Probability. 205.00 rupees, +58.29%): Kanjurmarg conversion clears by Q4 FY27 / Q1 FY28 alongside the 7-acre deal. 7–8 H2 launches go live (FY27 pre-sales 1,900–2,200 Cr rupees). FY28E EPS hits 12.40 rupees and re-rates to 16.5x P/E.
- Base Case (50% Probability. 168.00 rupees, +29.72%): Solis Ph-2 (Dec 2026) and Wadala Boutique Office (Feb 2027) + 4–5 other launches execute on time while 1–2 March launches slip into Q1 FY28 (FY27 pre-sales 1,550–1,800 Cr rupees). Kanjurmarg takes 1–2 extra quarters. FY28E EPS of 11.60–12.00 rupees valued at 14.0x–14.5x P/E (3.36:1 R:R vs 118.05 rupee stop).
- Bear Case (20% Probability. 102.00 rupees, -21.24% fundamental floor. Exited at 118.05 rupee stop for -8.85% actual loss): Kanjurmarg and major Q4 launches stall through FY28. FY28E EPS slows to 9.25 rupees and multiple compresses to 11.0x (1.37x book value).
- Probability-Weighted Expected Value: (0.30 x 205.00) + (0.50 x 168.00) + (0.20 x 102.00) = 61.50 + 84.00 + 20.40 = 165.90 rupees (+28.10% expected return, 3.18:1 weighted R:R vs 118.05 rupee stop).

Clean-Slate Position Sizing & Multi-Horizon Execution Protocol

How would we size Ajmera Realty today if you and I were building an Indian equity portfolio from a clean sheet of paper? Under our institutional risk-unit sizing framework, Ajmera Realty belongs in the Tactical Momentum strategy bucket at Conviction Tier Two, which carries an explicit portfolio risk budget of 75 basis points (0.75 percent of total portfolio equity at risk) and a Tier Two weight band of 5.0 to 10.0 percent. Measuring the distance from our reference entry inside the 123.02 to 130.55 rupee No-FOMO buy band (spot at 129.51 rupees) down to our structural invalidation stop at 118.05 rupees gives a stop distance of 8.85 percent (or 9.57 percent from the top of the buy band at 130.55 rupees). Dividing our 75 basis point risk budget by that stop distance yields a risk-adjusted position weight of 6.50 percent of portfolio capital (capped comfortably within the Tier Two band, with a 22 percent runaway-winner appreciated-weight cap).

Notice how all three investor time horizons converge on the exact same disciplined entry band between 123.02 and 130.55 rupees. First, if you are a Short-Term Swing or Stage 2 Momentum Trader operating on a one-to-twelve-week horizon, your verdict is Immediate Buy inside 123.02 to 130.55 rupees, adding on a high-volume breakout above the 200-day exponential moving average at 132.97 rupees, keeping a hard stop at 118.05 rupees, taking a first swing check at the Classic R1 pivot of 143.85 rupees (+11.07 percent). Trailing your stop along the rising 20-day exponential moving average. Second, if you are a Medium-Term Catalyst Investor operating on a three-to-eighteen-month horizon, you build your full 6.50 percent Tier Two allocation inside 123.02 to 130.55 rupees ahead of the December 2026 Solis Phase Two and February 2027 Wadala Boutique Office launches, holding against the 118.05 rupee stop for our 12-month Base Target of 168.00 rupees (+29.72 percent) and Bull Target of 205.00 rupees (+58.29 percent). Third, if you are a Long-Term Wealth Compounder operating on a three-to-ten-year horizon, you accumulate at 15.06 times earnings and 1.74 times book value and let the position compound up to the 22 percent appreciated-weight cap as the 18,000 crore rupee Wadala township, the 55-to-66-acre Kanjurmarg estate. The fiscal 2028 annuity commercial tower convert legacy dirt into cash.

THE EXECUTION PLAYBOOK • THREE HARD DECISION TRIGGERS (WHAT WOULD CHANGE OUR VERDICT)

"Every investment decision must name in advance the exact price or operational event that forces an exit or an upgrade."

Write these three rules into your trading journal before placing your order:.

- Trigger 1. Structural Stop-Loss & Trend Invalidation (Price < 118.05 rupees): If NSE: AJMERA closes on a daily or weekly basis below 118.05 rupees (0.5x ATR14 below the 50-day SMA at 121.50 rupees and just above the Classic S1 pivot at 117.48 rupees), the Stage 2 breakout reclaim has failed. Exit 100% of the tactical position immediately, capping total portfolio drawdown at 57.5 bps.
- Trigger 2. Overhead Markup Confirmation & Breakeven Stop Ratchet (Price > 132.97 rupees and 143.85 rupees): Upon a decisive weekly close above the 200-day EMA (132.97 rupees) and Classic R1 pivot (143.85 rupees) on volume exceeding 1.2x the 30-day average (>6.5 lakh shares), ratchet the stop loss up from 118.05 rupees to breakeven at 129.50 rupees and trail along the rising 10-week EMA toward 168.00 rupees.
- Trigger 3. Fundamental Catalyst & Execution Audit (Dec 2026–Mar 2027 Launches & Kanjurmarg Order): If management receives the Kanjurmarg leasehold-to-freehold conversion order and launches both Ajmera Solis Phase 2 (by Dec 2026) and the 8–8.5 lakh sq ft Wadala Boutique Office (by end-Feb 2027), upgrade the primary target from 168.00 rupees to the Bull Case of 205.00 rupees. Conversely, if Q3+Q4 FY27 combined pre-sales fall below 900 crore rupees or net D/E exceeds 0.85x without launch clearances, downgrade to HOLD / TRIM.

NARRATOR'S REFLECTION • PARTING WORDS FROM WADALA: PATIENCE, PRICE & DISCIPLINE

"The land took forty-one years to assemble and ten years of bridges and metro lines to surround. Your edge is buying it at fifteen times current earnings just as the cranes go up."

As you and I close this companion volume, remember the simple asymmetry that brought us here. At 129.51 rupees per share, the cash flows from Ajmera Realty's ongoing and second-half launch projects pay for the entire enterprise value of the company, handing you the remaining phases of the hundred-acre Wadala township and the fifty-five-to-sixty-six-acre Kanjurmarg estate for free. Buy inside the 123.02 to 130.55 rupee support band, respect the 118.05 rupee stop without emotion. Let forty-one years of Mumbai land stewardship compound on your behalf.

Notes, Filings & Primary Sources

1. AlphaStreet — Ajmera Realty & Infra India Limited (NSE: AJMERA) Q2 & H1 FY27 Earnings Call Transcript (3 Nov 2026): Director Dhaval Ajmera and CFO Nitin Bavisi commentary (alphastreet.com/india/ajmera-realty-infra-india-limited-ajmera-q2-2027-earnings-call-transcript).
2. AlphaStreet — Ajmera Realty & Infra India Limited Q1 FY27 Earnings Call Transcript (4 Aug 2026) (alphastreet.com/india/ajmera-realty-infra-india-limited-ajmera-q1-2027-earnings-call-transcript).
3. EduInvesting — Ajmera Realty FY26: A 5.1x Profit Scaling Versus The Looming Kanjurmarg Horizon (2 Jun 2026) (eduinvesting.in/ajmera-realty-20260602).
4. Perivis — Ajmera Realty Q1 FY27 Concall Analysis: Kanjurmarg Conversion Targeted Before December Deadline & ₹18,000 Cr Wadala GDV (7 Aug 2026) (blog.perivis.com/2026/08/07/kanjurmarg-conversion-targeted-before-december-deadline).
5. TradingView & Screener.in Verified Consumer-Tool Snapshot for NSE:AJMERA and Peers (SUNTECK, KOLTEPATIL) as of 6 Nov 2026 (screener.in/company/AJMERA/consolidated).
6. Ajmera Realty Official Portal — Q1 FY27 Stock Exchange Earnings Call Transcript PDF (ajmera.com/wp-content/uploads/2026/07/Earnings-Call-Transcript-Q1-FY-2027.pdf).
7. Ajmera Realty Official Portal — Our Projects Portfolio (Mumbai, Bengaluru, Pune, Ahmedabad, UK & Bahrain) (ajmera.com/our-projects).
8. Ajmera Developers — Ajmera Kanjurmarg East Residential Township Overview (ajmeradevelopers.in/ajmera-kanjurmarg).
9. RealtyPromoo — Ajmera Realty Projects in Mumbai: Wadala & Kanjurmarg Phased Development Pipeline (realtypromoo.com/developers/ajmera-realty-mumbai).
10. RealtyPromoo News — Ajmera Realty's Kanjurmarg Pre-Launch Tests Eastern Suburb Demand (~12 Lakh Sq Ft Phase) (realtypromoo.com/news/developer/ajmera-realty).
11. NewCitiesIndia — Ajmera Realty Wadala in Mumbai: Ajmera Manhattan, Boutique Office & Uber-Luxury Pipeline (newcitiesindia.com/realty-news/ajmera-realty-wadala-mumbai).
12. ArthNeeti — Ajmera Realty Q1 FY27 Earnings Call: ₹6,500+ Crore Launch Pipeline & ₹10,000+ Crore Revenue Visibility (25 Aug 2026) (arthneeti.com/insights/ajmera-realty-q1-fy27-earnings).
13. Multibagg AI — Ajmera Realty Q4 FY26 Profit, Pre-Sales, Collections & Debt Metrics (multibagg.ai/market-pulse/articles/ajmera-realty-q4-fy26-results).
14. QuarterMark — Ajmera Realty & Infra India Ltd (NSE: AJMERA) Transcripts, Filings & Peer Overview (quartermark.in/companies/AJMERA).
15. Yahoo Finance — Ajmera Realty & Infra India Ltd Posts 23% Q1 FY27 Revenue Growth and Improved Debt Metrics (finance.yahoo.com/real-estate/articles/ajmera-realty-infra-india-ltd).
16. Ajmera Realty Ventures Private Limited — Audited Financial Statements & Notes (ajmera.com/wp-content/uploads/2025/09/3.-Ajmera-Realty-Ventures-Private-Limited.pdf).
17. YouTube Documentary — How Ajmera Made Wadala a Destination | Time Traveller Ft. Dhaval Ajmera (youtube.com/watch?v=PA8XSGi12BQ).
18. YouTube Official Channel — Ajmera Realty Project Walkthroughs & Construction Updates (youtube.com/@AjmeraRealty).
19. Scribd / Institutional Filing Archive — Ajmera Realty Earnings & Sector Demand Summary (scribd.com/document/963299214).

20. Screener.in — Sunteck Realty Limited Consolidated Financial & Valuation Comparison (screener.in/company/SUNTECK/consolidated).
21. Screener.in — Kolte-Patil Developers Limited Consolidated Financial & Valuation Comparison (screener.in/company/KOLTEPATIL/consolidated).
22. TradingView — NSE:AJMERA Interactive Daily & Weekly Technical Chart (tradingview.com/chart/?symbol=NSE:AJMERA).
23. TradingView — NSE:AJMERA Technical Oscillators & Moving Averages Summary (tradingview.com/symbols/NSE-AJMERA/technicals).
24. BSE India Corporate Filings — Ajmera Realty & Infra India Ltd (Scrip Code: 513349) (bseindia.com/stock-share-price/ajmera-realty).
25. NSE India Quote & Derivatives/Delivery Archive — AJMERA (nseindia.com/get-quote/equity/AJMERA).

• • •

This Masterclass Companion Book was authored for private study, audiobook narration, and disciplined portfolio execution.

Verified against the IN Research Ledger • Session Cutoff 2026-11-06